

THE ELEMENTARY
PRACTICES AND
PRINCIPLES OF
ACCOUNTING



KUTUSH KUMAR, KUTUM PAKHI

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TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches The Elementary Practices and Principles of Accounting one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

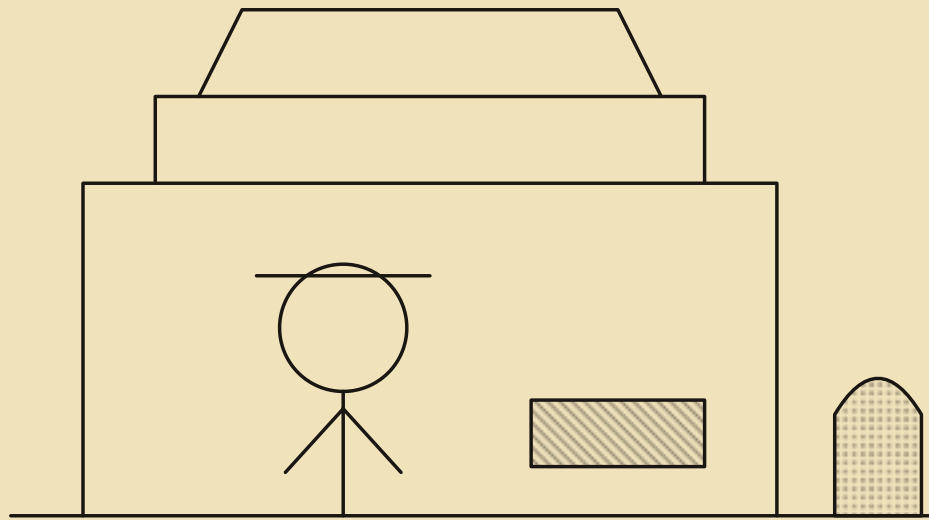
A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.



a shopkeeper at a lamplit counter beside a drawer of co

a shopkeeper at a lamplit counter beside a drawer of coins and a heap

CHAPTER I

Business, Money and Records

*What must be made visible before the next step can be
trusted?*



*This chapter builds one accounting idea at a time, from a practical
problem to a rule and a checked application.*

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Business. an organisation that provides goods or services to customers in order to earn money

Business names one specific idea needed here.

Profit. the money left over when a business has paid all its costs out of the money it earns

Profit names one specific idea needed here.

Loss. the shortfall that results when a business's costs are greater than the money it earns

Loss names one specific idea needed here.

Record. a written note, made at the time, of something that happened and its money value

Record names one specific idea needed here.

Customer. a person or organisation that pays for the goods or services a business provides

Customer names one specific idea needed here.

Supplier. a person or organisation that sells goods or services to a business

Supplier names one specific idea needed here.

Owner. a person who put money into a business and has a claim on what is left after debts are paid

Owner names one specific idea needed here.

Service firm. a business that earns money by doing work for customers instead of selling goods

Service firm names one specific idea needed here.

Merchandising firm. a business that buys finished goods and resells them without changing them

Merchandising firm names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Business, Money and Records addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

1.1 EVERYDAY MONEY AND THE NEED FOR RECORDS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Business** means an organisation that provides goods or services to customers in order to earn money. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit** means the money left over when a business has paid all its costs out of the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Loss** means the shortfall that results when a business's costs are greater than the money it earns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Record** means a written note, made at the time, of something that happened and its money value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Customer** means a person or organisation that pays for the goods or services a business provides. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Supplier** means a person or organisation that sells goods or services to a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Owner** means a person who put money into a business and has a claim on what is left after debts are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Service firm** means a business that earns money by doing work for customers instead of selling goods. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Merchandising firm** means a business that buys finished goods and resells them without changing them. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Manufacturing firm** means a business that makes goods from materials and then sells them. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sole trader** means one person who owns and runs a business and is personally responsible for its debts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Partnership** means a business owned by two or more people who agree to share its profit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Company** means a business that the law treats as a separate person, owned through shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Everyday Money and the Need for Records, we begin with money in and money out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Everyday Money and the Need for Records, we begin with why we keep records rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Everyday Money and the Need for Records, we begin with memory is not a record rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees

Manufacturing firm. a business that makes goods from materials and then sells them

Manufacturing firm names one specific idea needed here.

Sole trader. one person who owns and runs a business and is personally responsible for its debts

Sole trader names one specific idea needed here.

Partnership. a business owned by two or more people who agree to share its profit

Partnership names one specific idea needed here.

Company. a business that the law treats as a separate person, owned through shares

Company names one specific idea needed here.

Money in and money out starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why we keep records starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Memory is not a record starts with a concrete question.

The procedure keeps the idea tied to the facts.

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with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a household month shown as money-in and money-out arrow

FIG. 1.1. a household month shown as money-in and money-out arrows

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.2 WHAT BUSINESSES DO

Business and its customers starts with a concrete question.

In What Businesses Do, we begin with business and its customers rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Profit and loss starts with a concrete question.

In What Businesses Do, we begin with profit and loss rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the three kinds of firm side by side, with what each on

FIG. 1.2. the three kinds of firm side by side, with what each one sells

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

1.3 SERVICE, MERCHANDISING AND MANUFACTURING FIRMS

In Service, Merchandising and Manufacturing Firms, we begin with three kinds of firm rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Three kinds of firm starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

In Service, Merchandising and Manufacturing Firms, we begin with materials and finished goods rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Materials and finished goods starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

three ownership forms as owner-and-business diagrams

FIG. 1.3. three ownership forms as owner-and-business diagrams

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.4 SOLE TRADER, PARTNERSHIP AND COMPANY

Three ways to own a business starts with a concrete question.

In Sole Trader, Partnership and Company, we begin with three ways to own a business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Who answers for what starts with a concrete question.

In Sole Trader, Partnership and Company, we begin with who answers for what rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. In December 2021 Karim Meghna, a bookbinder in Mirpur, Dhaka, decided to open a binding and repair workshop. On 2 January 2022 the workshop opened, with his sons Imran and Rafi helping. Until the end of the first week Karim kept loose notes in a shoebox: 31 paper slips, no dates on 9 of them. At the end of week 1 he could not tell whether the shop had earned a profit. Karim's own savings were the only money put into the business. No other figures are used in this chapter.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Business, Money and Records is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

01.T1 What is the central problem that this chapter method is designed to solve?

01.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

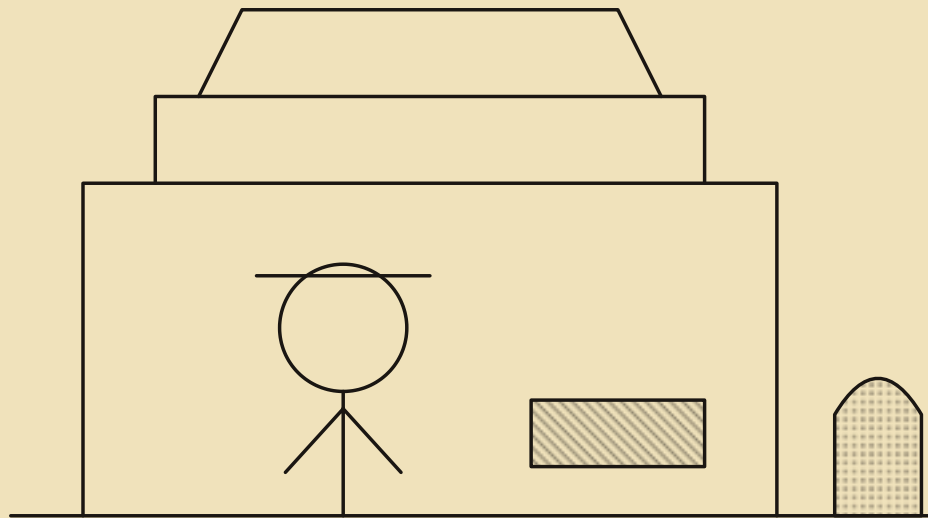
The historical case shows why careful records matter beyond a textbook example.

Clay tokens and tablets of ancient Sumer (about 3200 BC) used to record grain and livestock. Search: Uruk clay tablets earliest accounting records. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

01.R1 State the main rule in your own words and apply it to a new small example.

01.R2 What check would you perform before accepting the result?



a clerk at a high desk among ledgers, 1880s

a clerk at a high desk among ledgers, 1880s

CHAPTER II

Accounting, Its Users and Its Rules

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Accounting. the process of recording, sorting, summarising and reporting the money events of a business

Accounting names one specific idea needed here.

Financial accounting. accounting that prepares reports on a business for people outside it, such as banks and tax officers

Financial accounting names one specific idea needed here.

Management accounting. accounting that gives a business's own managers the information they need to plan and decide

Management accounting names one specific idea needed here.

Cost accounting. accounting that works out what it costs to make a product or provide a service

Cost accounting names one specific idea needed here.

User of accounting information. any person or group that reads accounting reports in order to make a decision

User of accounting information names one specific idea needed here.

Business entity concept. the rule that a business is kept separate from its owner when records are made

Business entity concept names one specific idea needed here.

Going concern concept. the assumption that a business will continue to operate for the foreseeable future

Going concern concept names one specific idea needed here.

Money measurement concept. the rule that only events that can be stated in money are recorded

Money measurement concept names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Accounting, Its Users and Its Rules addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

2.1 WHAT ACCOUNTING IS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Accounting** means the process of recording, sorting, summarising and reporting the money events of a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Financial accounting** means accounting that prepares reports on a business for people outside it, such as banks and tax officers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Management accounting** means accounting that gives a business's own managers the information they need to plan and decide. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost accounting** means accounting that works out what it costs to make a product or provide a service. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **User of accounting information** means any person or group that reads accounting reports in order to make a decision. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Business entity concept** means the rule that a business is kept separate from its owner when records are made. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Going concern concept** means the assumption that a business will continue to operate for the foreseeable future. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Money measurement concept** means the rule that only events that can be stated in money are recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Historical cost concept** means the rule that an asset is recorded at the price actually paid for it. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting standard** means a detailed rule, issued by an official body, on how a type of item must be recorded and reported. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Generally accepted accounting principles** means the body of agreed rules that businesses follow when they prepare accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In *What Accounting Is*, we begin with accounting as the language of business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *What Accounting Is*, we begin with recording, classifying, summarising and reporting rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Historical cost concept. the rule that an asset is recorded at the price actually paid for it

Historical cost concept names one specific idea needed here.

Accounting standard. a detailed rule, issued by an official body, on how a type of item must be recorded and reported

Accounting standard names one specific idea needed here.

Generally accepted accounting principles. the body of agreed rules that businesses follow when they prepare accounts

Generally accepted accounting principles names one specific idea needed here.

Accounting as the language of business starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording, classifying, summarising and reporting starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the four jobs of accounting as a flow from event to rep

FIG. 2.1. the four jobs of accounting as a flow from event to report

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

2.2 BRANCHES OF ACCOUNTING

Financial, management and cost accounting starts with a concrete question.

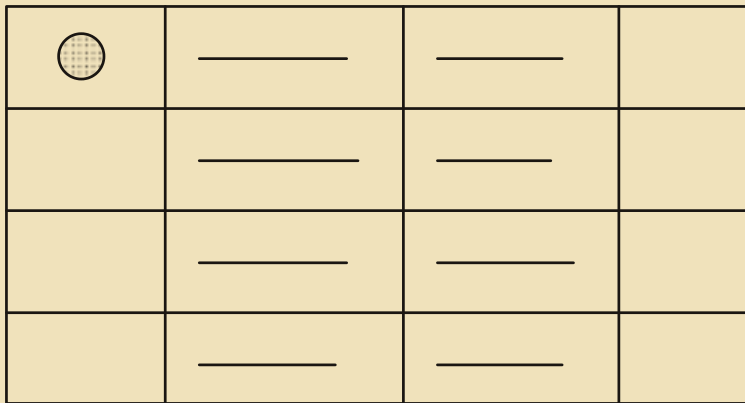
In Branches of Accounting, we begin with financial, management and cost accounting rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



users of accounting information arranged around a business

FIG. 2.2. users of accounting information arranged around a business

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

2.3 WHO USES ACCOUNTING INFORMATION

In Who Uses Accounting Information, we begin with internal users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Who Uses Accounting Information, we begin with external users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Internal users starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

External users starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What each user needs to know starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Who Uses Accounting Information, we begin with what each user needs to know rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

2.4 PRINCIPLES, STANDARDS AND THE LANGUAGE OF BUSINESS

Accounting concepts starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accounting standards starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why standards are necessary starts with a concrete question.

The procedure keeps the idea tied to the facts.

In Principles, Standards and the Language of Business, we begin with accounting concepts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Principles, Standards and the Language of Business, we begin with accounting standards rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Principles, Standards and the Language of Business, we begin with why standards are necessary rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. By 31 January 2022 the workshop owed Tk 20,000 to its machine supplier, Dhaka Machine Works. Four people wanted information about the workshop: Karim Meghna as owner; Dhaka Machine Works, which wanted to know whether the Tk 20,000 would be paid; a bank, to which Karim would apply for a loan in March 2022; and the National Board of Revenue, which collects income tax. No further figures are used.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Accounting, Its Users and Its Rules is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

02.T1 What is the central problem that this chapter method is designed to solve?

02.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

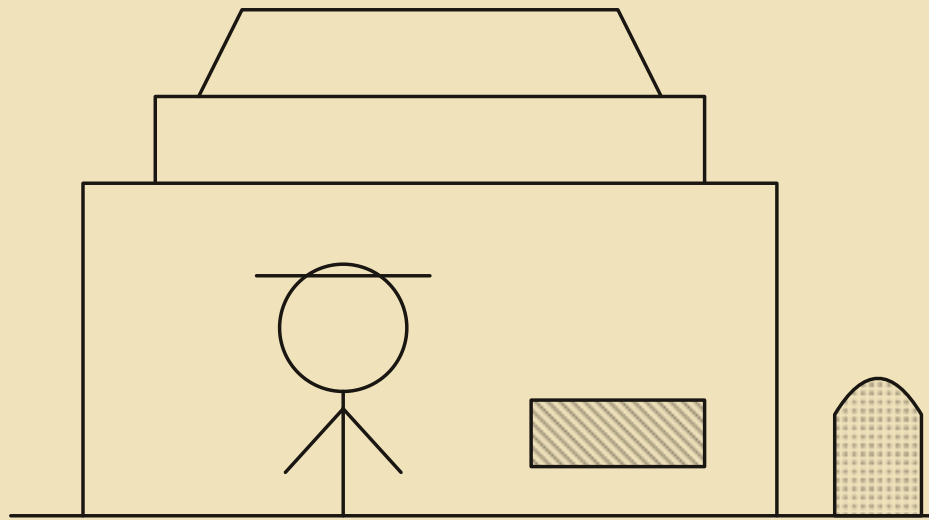
The historical case shows why careful records matter beyond a textbook example.

The International Accounting Standards Committee was founded in 1973 by professional bodies from several countries and was replaced by the International Accounting Standards Board in 2001. Search: IASC founded 1973 IASB 2001. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

02.R1 State the main rule in your own words and apply it to a new small example.

02.R2 What check would you perform before accepting the result?



a pair of brass balance scales on a counting-house desk

a pair of brass balance scales on a counting-house desk beside a stack

CHAPTER III

The Accounting Equation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Asset. something of value that a business owns or is owed, such as cash, equipment or money owed by customers

Asset names one specific idea needed here.

Liability. an amount that a business owes to someone outside the business

Liability names one specific idea needed here.

Owner's equity. the owner's claim on the business: what is left when liabilities are taken from assets

Owner's equity names one specific idea needed here.

Accounting equation. the statement that assets always equal liabilities plus owner's equity

Accounting equation names one specific idea needed here.

Revenue. the price of goods sold or services provided to customers in a period

Revenue names one specific idea needed here.

Expense. a cost of running the business that is used up in earning revenue

Expense names one specific idea needed here.

Net income. the amount by which revenue is greater than expenses in a period

Net income names one specific idea needed here.

Net loss. the amount by which expenses are greater than revenue in a period

Net loss names one specific idea needed here.

Drawings. money or goods the owner takes out of the business for personal use

Drawings names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Accounting Equation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

3.1 ASSETS, LIABILITIES AND OWNER'S EQUITY

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Asset** means something of value that a business owns or is owed, such as cash, equipment or money owed by customers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Liability** means an amount that a business owes to someone outside the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Owner's equity** means the owner's claim on the business: what is left when liabilities are taken from assets. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting equation** means the statement that assets always equal liabilities plus owner's equity. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Revenue** means the price of goods sold or services provided to customers in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Expense** means a cost of running the business that is used up in earning revenue. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Net income** means the amount by which revenue is greater than expenses in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Net loss** means the amount by which expenses are greater than revenue in a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Drawings** means money or goods the owner takes out of the business for personal use. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Transaction** means an event that has a money value and changes the accounting equation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Source document** means a paper or electronic proof that a transaction took place, such as an invoice or receipt. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account receivable** means an amount a customer owes the business for goods or services already provided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account payable** means an amount the business owes a supplier for goods or services already received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Assets, Liabilities and Owner's Equity, we begin with assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Assets, Liabilities and Owner's Equity, we begin with the equation: assets = liabilities + owner's equity rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Transaction. an event that has a money value and changes the accounting equation

Transaction names one specific idea needed here.

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt

Source document names one specific idea needed here.

Account receivable. an amount a customer owes the business for goods or services already provided

Account receivable names one specific idea needed here.

Account payable. an amount the business owes a supplier for goods or services already received

Account payable names one specific idea needed here.

Assets and liabilities starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The equation: Assets = Liabilities + Owner's equity starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the accounting equation as a balance scale

FIG. 3.1. the accounting equation as a balance scale

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.2 INCOME, EXPENSES AND WITHDRAWALS

Revenue and expenses change equity starts with a concrete question.

In Income, Expenses and Withdrawals, we begin with revenue and expenses change equity rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Drawings starts with a concrete question.

In Income, Expenses and Withdrawals, we begin with drawings rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

how revenue, expenses and drawings flow into owner's eq

FIG. 3.2. how revenue, expenses and drawings flow into owner's equity

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

3.3 BUSINESS TRANSACTIONS

In Business Transactions, we begin with what counts as a transaction rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

What counts as a transaction starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

In Business Transactions, we begin with source documents rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Source documents starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a running equation table, one row per transaction

FIG. 3.3. a running equation table, one row per transaction

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.4 SUMMARISING TRANSACTIONS IN THE EQUATION

Analysing one transaction at a time starts with a concrete question.

In Summarising Transactions in the Equation, we begin with analysing one transaction at a time rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Totalling the equation after each transaction starts with a concrete question.

In Summarising Transactions in the Equation, we begin with totalling the equation after each transaction rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022, transactions that change only cash, equipment, money owed and money earned: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Running totals by code: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total assets Tk 767,000; accounts payable Tk 20,000; owner's equity Tk 747,000 (capital Tk 600,000 plus net income Tk 167,000 less drawings Tk 20,000). Revenue Tk 215,000; expenses Tk 48,000 (wages Tk 40,000, utilities Tk 8,000).

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The chapter can be reduced to a small set of working rules.

The Accounting Equation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

03.T1 What is the central problem that this chapter method is designed to solve?

03.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The historical case shows why careful records matter beyond a textbook example.

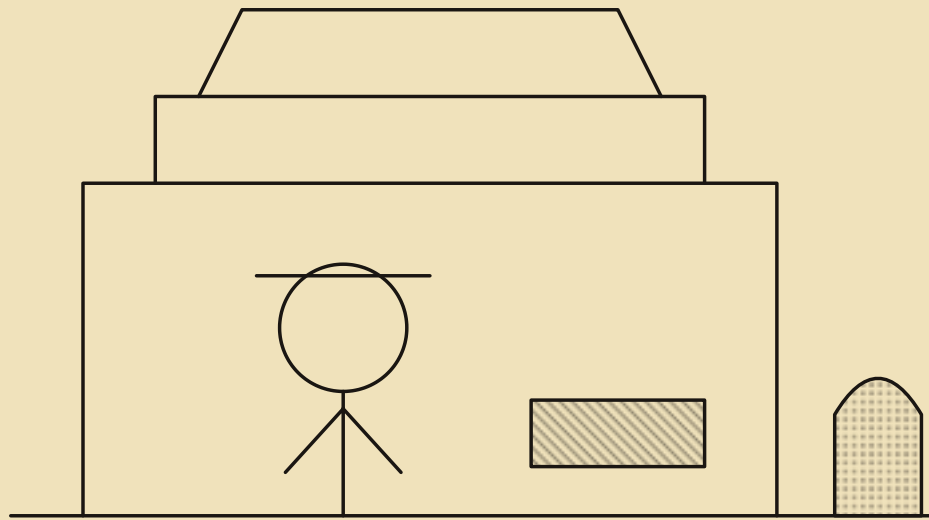
The Medici Bank of Florence, founded 1397 by Giovanni di Bicci de' Medici, kept ledgers that listed what the bank owned and owed. Search: Medici Bank ledgers balance 15th century. This note is included as a documented setting in which accounting records or accounting methods had practical consequences.

The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

03.R1 State the main rule in your own words and apply it to a new small example.

03.R2 What check would you perform before accepting the result?



a merchant reading a long roll of figures at a window a

a merchant reading a long roll of figures at a window above a harbour,

CHAPTER IV

A First Look at the Financial Statements

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Financial statement. a formal report that sums up the money results or position of a business

Financial statement names one specific idea needed here.

Income statement. the report that shows revenue, expenses and the resulting net income or net loss for a period

Income statement names one specific idea needed here.

Statement of owner's equity. the report that shows how the owner's equity changed during a period

Statement of owner's equity names one specific idea needed here.

Balance sheet. the report that lists the assets, liabilities and owner's equity of a business on one date

Balance sheet names one specific idea needed here.

Accounting period. the stretch of time, such as a month or a year, covered by one set of reports

Accounting period names one specific idea needed here.

Fiscal year. a twelve-month accounting period that can start in any month, such as 1 July to 30 June

Fiscal year names one specific idea needed here.

Calendar year. the twelve months from 1 January to 31 December

Calendar year names one specific idea needed here.

Interim period. a period shorter than a year, such as a month or quarter, for which reports are prepared

Interim period names one specific idea needed here.

Revenue, expenses and net income laid out starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. A First Look at the Financial Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

4.1 THE INCOME STATEMENT

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Financial statement** means a formal report that sums up the money results or position of a business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income statement** means the report that shows revenue, expenses and the resulting net income or net loss for a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Statement of owner's equity** means the report that shows how the owner's equity changed during a period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Balance sheet** means the report that lists the assets, liabilities and owner's equity of a business on one date. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting period** means the stretch of time, such as a month or a year, covered by one set of reports. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Fiscal year** means a twelve-month accounting period that can start in any month, such as 1 July to 30 June. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Calendar year** means the twelve months from 1 January to 31 December. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Interim period** means a period shorter than a year, such as a month or quarter, for which reports are prepared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Income Statement, we begin with revenue, expenses and net income laid out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Income Statement, we begin with reading the heading and the date rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the small, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Reading the heading and the date starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the three statements side by side with link arrows

FIG. 4.1. the three statements side by side with link arrows

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

4.2 THE STATEMENT OF OWNER'S EQUITY

In The Statement of Owner's Equity, we begin with opening capital, net income and drawings rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Opening capital, net income and drawings starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The closing capital figure starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

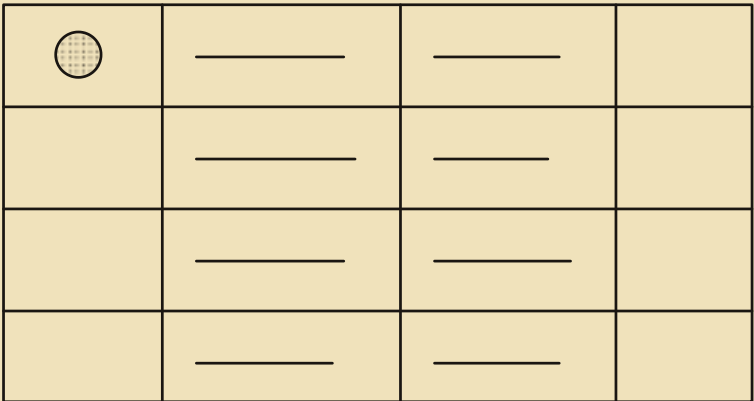
Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Statement of Owner's Equity, we begin with the closing capital figure rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



one month, one quarter and one year on a timeline

FIG. 4.2. *one month, one quarter and one year on a timeline*

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

4.3 THE BALANCE SHEET

Assets on one side, claims on the other starts with a concrete question.

In The Balance Sheet, we begin with assets on one side, claims on the other rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Balance Sheet, we begin with listing order of items rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

4.4 HOW THE STATEMENTS CONNECT; ACCOUNTING PERIODS

In How the Statements Connect; Accounting Periods, we begin with the order of preparation and the links rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In How the Statements Connect; Accounting Periods, we begin with fiscal year, calendar year and interim period rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Listing order of items starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The order of preparation and the links starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Fiscal year, calendar year and interim period starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Situation. Meghna and Sons, illustrative. Figures from the month ended 31 January 2022, with no adjustments yet. Revenue Tk 215,000 (binding work for cash Tk 95,000 and on account Tk 120,000). Expenses Tk 48,000 (wages Tk 40,000; utilities Tk 8,000). Net income Tk 167,000. Owner's equity: capital Tk 600,000 at 2 January, plus net income Tk 167,000, less drawings Tk 20,000, equals Tk 747,000. Assets at 31 January: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total Tk 767,000. Liabilities: accounts payable Tk 20,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

SUMMARY

A First Look at the Financial Statements is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

04.T1 What is the central problem that this chapter method is designed to solve?

04.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A common error is to use a familiar word without checking its accounting meaning.

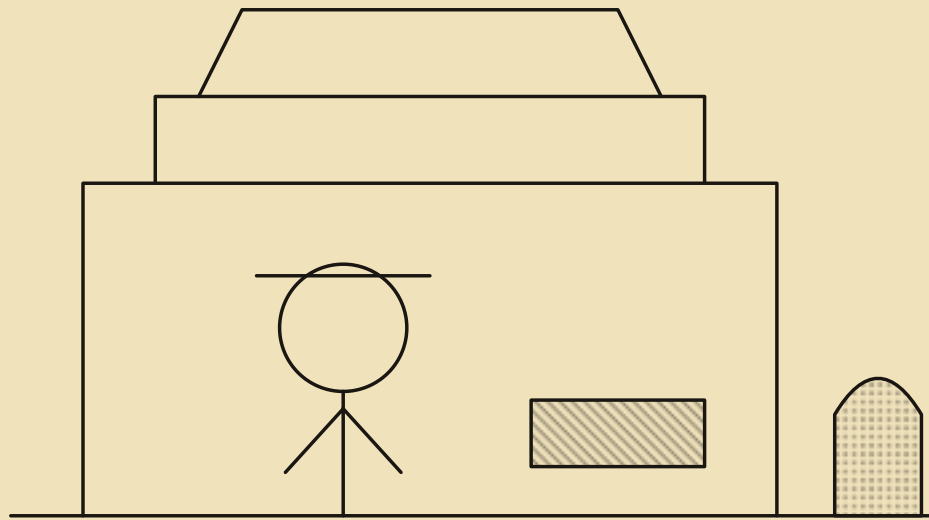
IN HISTORY

The Dutch East India Company (VOC), founded 20 March 1602, was an early company whose investors pressed for reports on how their money was used. Search: VOC 1602 shareholders demand accounts. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

- 04.R1** State the main rule in your own words and apply it to a new small example.
- 04.R2** What check would you perform before accepting the result?



two clerks facing each other across a desk, one reading

two clerks facing each other across a desk, one reading aloud from a p

CHAPTER V

Accounts, Debits and Credits

*What must be made visible before the next step can be
trusted?*



*This chapter builds one accounting idea at a time, from a practical
problem to a rule and a checked application.*

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Account. a record of the increases and decreases in one kind of item, such as Cash or Wages Expense

Account names one specific idea needed here.

Chart of accounts. the numbered list of all the accounts a business uses

Chart of accounts names one specific idea needed here.

Debit. an entry on the left side of an account

Debit names one specific idea needed here.

Credit. an entry on the right side of an account

Credit names one specific idea needed here.

Normal balance. the side of an account, debit or credit, on which its increases are recorded

Normal balance names one specific idea needed here.

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts

Double-entry system names one specific idea needed here.

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right

T-account names one specific idea needed here.

Account balance. the difference between the total debits and the total credits in an account

Account balance names one specific idea needed here.

What an account is starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Accounts, Debits and Credits addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

5.1 THE ACCOUNT AND ITS SIX TYPES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Account** means a record of the increases and decreases in one kind of item, such as Cash or Wages Expense. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Chart of accounts** means the numbered list of all the accounts a business uses. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Debit** means an entry on the left side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Credit** means an entry on the right side of an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Normal balance** means the side of an account, debit or credit, on which its increases are recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Double-entry system** means the method in which every transaction is recorded as equal debits and credits in at least two accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **T-account** means a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account balance** means the difference between the total debits and the total credits in an account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Account and Its Six Types, we begin with what an account is rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *The Account and Its Six Types*, we begin with six types of account and the chart of accounts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Six types of account and the chart of accounts starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a T-account with its debit and credit sides labelled

FIG. 5.1. a T-account with its debit and credit sides labelled

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

5.2 DEBIT AND CREDIT

In *Debit and Credit*, we begin with debit on the left, credit on the right: the rules for each type rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Debit on the left, credit on the right: the rules for each type starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Normal balance starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Debit and Credit, we begin with normal balance rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a table of the six account types with their increase si

FIG. 5.2. a table of the six account types with their increase side

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.3 DOUBLE ENTRY IN PRACTICE

Every transaction has two sides starts with a concrete question.

In Double Entry in Practice, we begin with every transaction has two sides rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Double Entry in Practice, we begin with analysing a transaction in four steps rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the small, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Analysing a transaction in four steps starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

one transaction analysed in four steps

FIG. 5.3. one transaction analysed in four steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.4 T-ACCOUNTS

In T-Accounts, we begin with drawing and balancing a t-account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The figure shows the same relationship in a compact visual form.

Drawing and balancing a T-account starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022 transactions: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Six account types used: assets (Cash, Accounts Receivable, Equipment); liabilities (Accounts Payable); owner's equity (Owner's Capital); drawings (Owner's Drawings); revenue (Service Revenue); expenses (Wages Expense, Utilities Expense). Account balances by code at 31 January: Cash Tk 567,000 debit; Accounts Receivable Tk 50,000 debit; Equipment Tk 150,000 debit; Accounts Payable Tk 20,000 credit; Owner's Capital Tk 600,000 credit; Owner's Drawings Tk 20,000 debit; Service Revenue Tk 215,000 credit; Wages Expense Tk 40,000 debit; Utilities Expense Tk 8,000 debit.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The chapter can be reduced to a small set of working rules.

Accounts, Debits and Credits is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

SUMMARY

THINK IT THROUGH

05.T1 What is the central problem that this chapter method is designed to solve?

05.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The historical case shows why careful records matter beyond a textbook example.

Luca Pacioli's Summa de arithmetica, printed in Venice in 1494, contained a treatise that described double-entry bookkeeping as used by Venetian merchants. Search: Pacioli Summa 1494 double entry treatise. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

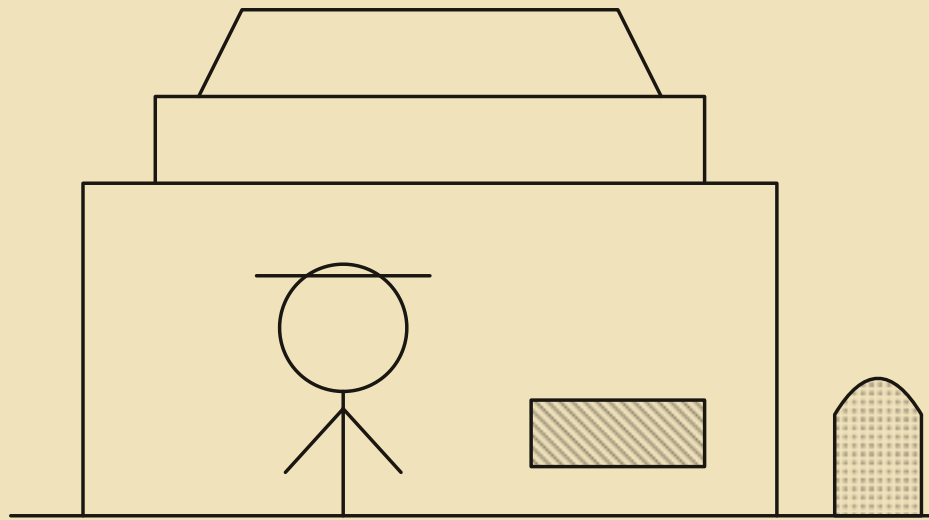
SOURCES

The chapter includes a historical source note.

REVIEW QUESTIONS

05.R1 State the main rule in your own words and apply it to a new small example.

05.R2 What check would you perform before accepting the result?



a long shelf of leather-bound ledgers with a wheeled li

a long shelf of leather-bound ledgers with a wheeled library ladder, 1

CHAPTER VI

Journal and Ledger

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Journal. the book in which each transaction is first recorded, in date order

Journal names one specific idea needed here.

Journal entry. one recorded transaction, showing the accounts debited and credited and the amounts

Journal entry names one specific idea needed here.

Compound entry. a journal entry that affects more than two accounts

Compound entry names one specific idea needed here.

Narration. a short written explanation placed under a journal entry

Narration names one specific idea needed here.

Ledger. the complete set of accounts of a business, kept together

Ledger names one specific idea needed here.

Posting. copying the amounts from journal entries into the proper ledger accounts

Posting names one specific idea needed here.

Folio. a page or reference number used to link a journal entry with its ledger account

Folio names one specific idea needed here.

Layout of a journal entry starts with a concrete question.

The procedure keeps the idea tied to the facts.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Journal and Ledger addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

6.1 THE JOURNAL AND JOURNAL ENTRIES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Journal** means the book in which each transaction is first recorded, in date order. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Journal entry** means one recorded transaction, showing the accounts debited and credited and the amounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Compound entry** means a journal entry that affects more than two accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Narration** means a short written explanation placed under a journal entry. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ledger** means the complete set of accounts of a business, kept together. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Posting** means copying the amounts from journal entries into the proper ledger accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Folio** means a page or reference number used to link a journal entry with its ledger account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In The Journal and Journal Entries, we begin with layout of a journal entry rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Journal and Journal Entries, we begin with narration and compound entries rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

Narration and compound entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a journal page with columns labelled

FIG. 6.1. a journal page with columns labelled

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

6.2 THE LEDGER AND POSTING

In The Ledger and Posting, we begin with the ledger as the book of accounts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The figure shows the same relationship in a compact visual form.

The ledger as the book of accounts starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Posting step by step and cross-referencing starts with a concrete question.

The procedure keeps the idea tied to the facts.

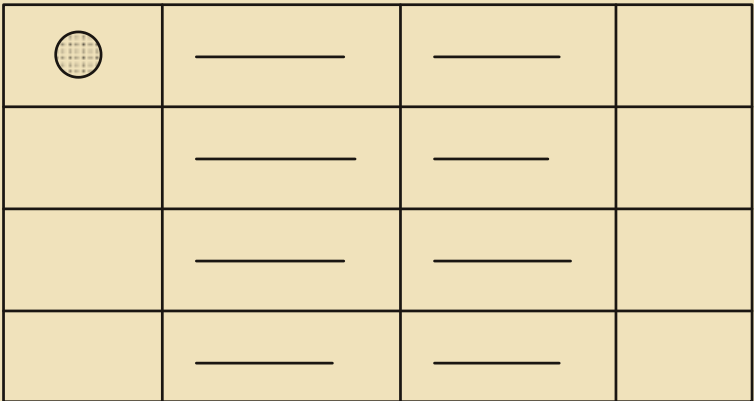
A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Ledger and Posting, we begin with posting step by step and cross-referencing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



an arrow from journal entry to the ledger accounts it f

FIG. 6.2. an arrow from journal entry to the ledger accounts it feeds

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

WORKED CYCLE OF ENTRIES

A month from journal to ledger balances starts with a concrete question.

The procedure keeps the idea tied to the facts.

In Worked Cycle of Entries, we begin with a month from journal to ledger balances rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Worked Cycle of Entries, we begin with checking your own work rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022 transactions: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Ledger balances after posting (by code): Cash Tk 567,000 Dr; Accounts Receivable Tk 50,000 Dr; Equipment Tk 150,000 Dr; Accounts Payable Tk 20,000 Cr; Owner's Capital Tk 600,000 Cr; Owner's Drawings Tk 20,000 Dr; Service Revenue Tk 215,000 Cr; Wages Expense Tk 40,000 Dr; Utilities Expense Tk 8,000 Dr. Equipment purchase of 3 January is the compound entry: Equipment Dr Tk 150,000; Cash Cr Tk 100,000; Accounts Payable Cr Tk 50,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

A changed situation tests whether the rule has been understood.

Checking your own work starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

SUMMARY

Journal and Ledger is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

06.T1 What is the central problem that this chapter method is designed to solve?

06.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

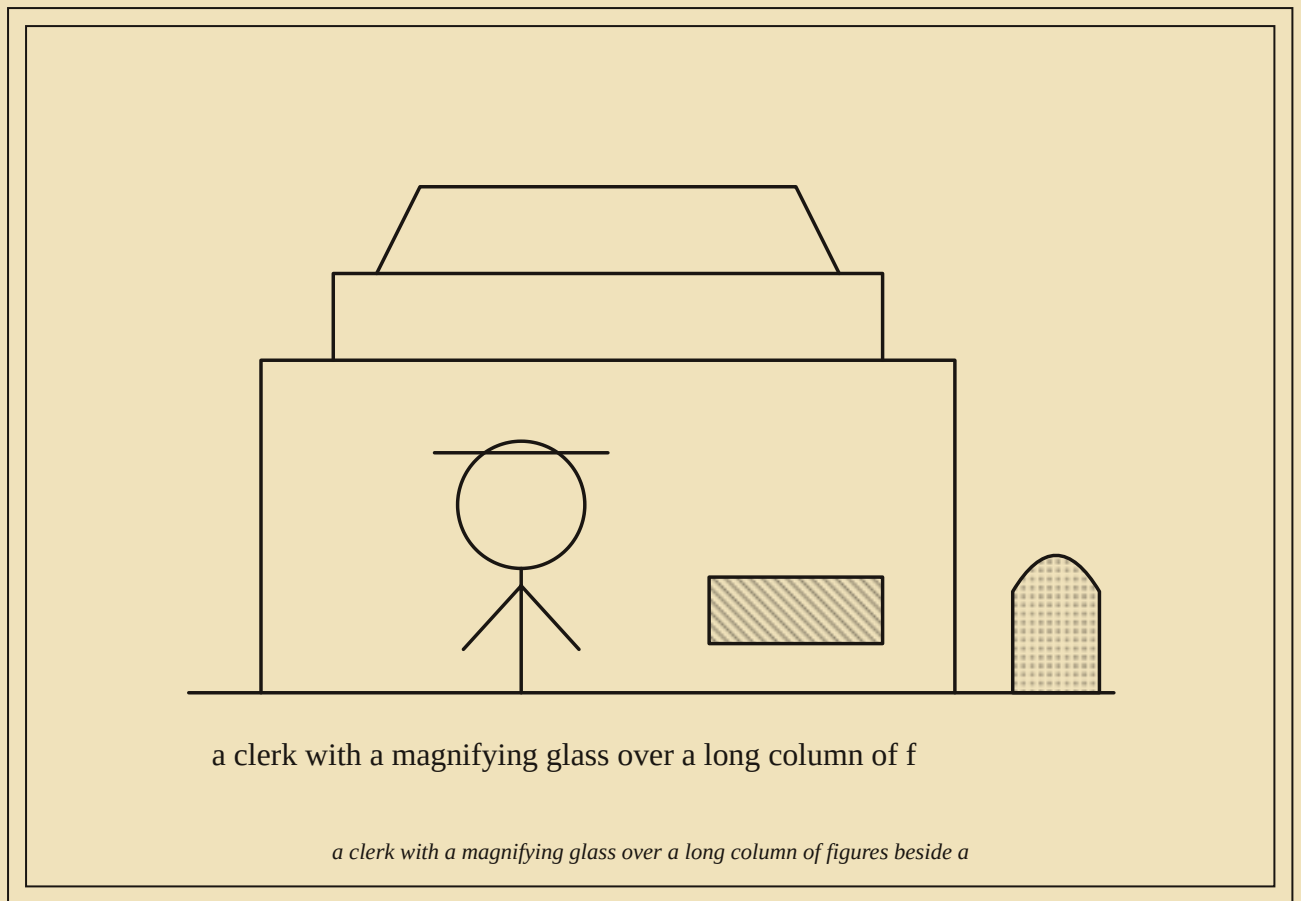
The historical case shows why careful records matter beyond a textbook example.

The ledger of Giovanni Farolfi and Company, kept 1299 to 1300 at Salon-de-Provence, is one of the oldest known surviving double-entry ledgers. Search: Farolfi ledger 1299 double entry earliest. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

06.R1 State the main rule in your own words and apply it to a new small example.

06.R2 What check would you perform before accepting the result?



CHAPTER VII

The Trial Balance and the Accounting Cycle

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Trial balance. a list of all ledger account balances showing that total debits equal total credits

Trial balance names one specific idea needed here.

Transposition error. a mistake in which two digits of a number are written in the wrong order

Transposition error names one specific idea needed here.

Error of omission. a mistake in which a transaction, or one side of it, is left out of the records

Error of omission names one specific idea needed here.

Compensating error. two mistakes of equal size on opposite sides that cancel each other out

Compensating error names one specific idea needed here.

Accounting cycle. the full set of steps from recording a transaction to preparing the next period's opening records

Accounting cycle names one specific idea needed here.

Listing ledger balances in two columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What equal totals do and do not prove starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Trial Balance and the Accounting Cycle addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

7.1 PREPARING A TRIAL BALANCE

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Trial balance** means a list of all ledger account balances showing that total debits equal total credits. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Transposition error** means a mistake in which two digits of a number are written in the wrong order. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Error of omission** means a mistake in which a transaction, or one side of it, is left out of the records. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Compensating error** means two mistakes of equal size on opposite sides that cancel each other out. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting cycle** means the full set of steps from recording a transaction to preparing the next period's opening records. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Preparing a Trial Balance, we begin with listing ledger balances in two columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing a Trial Balance, we begin with what equal totals do and do not prove rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a trial balance with the two total lines highlighted

FIG. 7.1. a trial balance with the two total lines highlighted

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

7.2 FINDING AND CORRECTING ERRORS

In Finding and Correcting Errors, we begin with errors that stop the totals agreeing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Finding and Correcting Errors, we begin with errors the trial balance cannot find rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Errors that stop the totals agreeing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

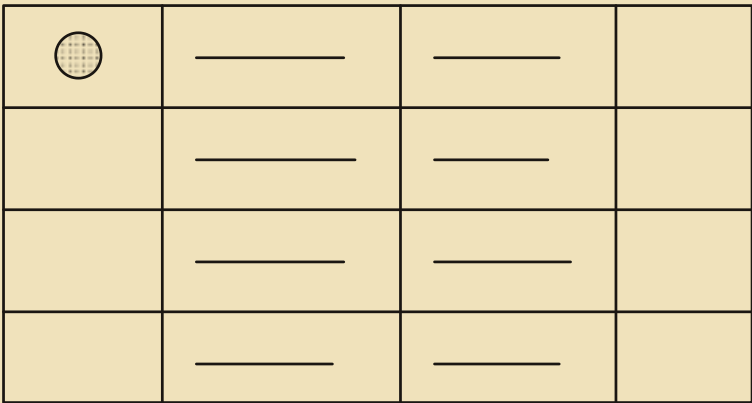
Errors the trial balance cannot find starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



the accounting cycle as a circle of steps

FIG. 7.2. the accounting cycle as a circle of steps

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

7.3 STEPS OF THE ACCOUNTING CYCLE

The cycle from transaction to closing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Where each later chapter fits starts with a concrete question.

In Steps of the Accounting Cycle, we begin with the cycle from transaction to closing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Steps of the Accounting Cycle, we begin with where each later chapter fits rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Ledger balances at 31 January 2022: Cash Tk 567,000 Dr; Accounts Receivable Tk 50,000 Dr; Equipment Tk 150,000 Dr; Owner's Drawings Tk 20,000 Dr; Wages Expense Tk 40,000 Dr; Utilities Expense Tk 8,000 Dr; Accounts Payable Tk 20,000 Cr; Owner's Capital Tk 600,000 Cr; Service Revenue Tk 215,000 Cr. Debit total Tk 835,000; credit total Tk 835,000. Three faulty copies: (a) Equipment copied as Tk 105,000, so debits are Tk 790,000, a difference of Tk 45,000; (b) the credit to Accounts Receivable for the 20 January collection of Tk 70,000 was never posted, so Accounts Receivable shows Tk 120,000 and debits total Tk 905,000 against credits of Tk 835,000; (c) Wages Expense copied as Tk 45,000 and Owner's Drawings copied as Tk 15,000, so the totals still agree at Tk 835,000.

The worked case applies the chapter rules to the documented running case.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

The question is how the chapter method changes the way the case is recorded or understood.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

The reasoning follows the chapter sequence rather than jumping to the result.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

The case result is accepted only when the records agree with the stated facts.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

A worked case is checked against the original facts.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

SUMMARY

The Trial Balance and the Accounting Cycle is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

07.T1 What is the central problem that this chapter method is designed to solve?

07.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A common error is to use a familiar word without checking its accounting meaning.

IN HISTORY

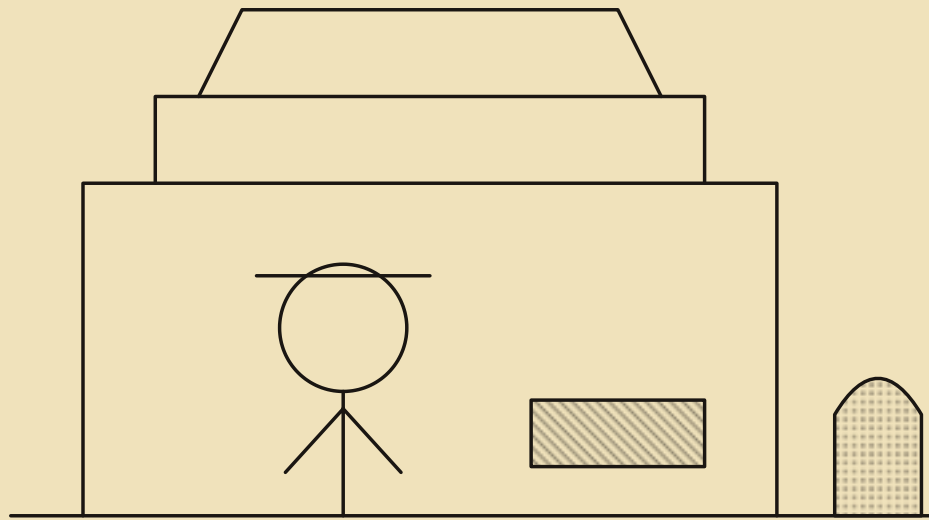
Barings Bank collapsed in February 1995 after trading losses were hidden in an error account numbered 88888 in its Singapore office. Search: Barings 1995 account 88888 Leeson. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

07.R1 State the main rule in your own words and apply it to a new small example.

07.R2 What check would you perform before accepting the result?



a grandfather clock beside a stack of unpaid bills and

a grandfather clock beside a stack of unpaid bills and receipts on a m

CHAPTER VIII

Adjusting the Accounts

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Adjusting entry. a journal entry made at the end of a period to bring an account up to its correct amount

Adjusting entry names one specific idea needed here.

Cash basis. the method of recording revenue and expenses only when cash is received or paid

Cash basis names one specific idea needed here.

Accrual basis. the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing

Accrual basis names one specific idea needed here.

Matching principle. the rule that expenses are recorded in the same period as the revenue they helped to earn

Matching principle names one specific idea needed here.

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up

Prepaid expense names one specific idea needed here.

Unearned revenue. money received before the work is done, held as a liability until the work is performed

Unearned revenue names one specific idea needed here.

Accrued expense. a cost already incurred in the period but not yet paid or recorded

Accrued expense names one specific idea needed here.

Accrued revenue. revenue earned in the period but not yet received or billed

Accrued revenue names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Adjusting the Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

8.1 WHY ACCOUNTS NEED ADJUSTING

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Adjusting entry** means a journal entry made at the end of a period to bring an account up to its correct amount. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash basis** means the method of recording revenue and expenses only when cash is received or paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrual basis** means the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Matching principle** means the rule that expenses are recorded in the same period as the revenue they helped to earn. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Prepaid expense** means a cost paid in advance, held as an asset until its benefit is used up. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Unearned revenue** means money received before the work is done, held as a liability until the work is performed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued expense** means a cost already incurred in the period but not yet paid or recorded. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accrued revenue** means revenue earned in the period but not yet received or billed. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciation** means the sharing of an asset's cost across the periods in which the asset is used. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accumulated depreciation** means the total depreciation charged on an asset since it was bought. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Contra account** means an account that is deducted from a related account and has the opposite normal balance. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Adjusted trial balance** means a trial balance prepared after the adjusting entries have been posted. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Why Accounts Need Adjusting, we begin with cash basis and accrual basis rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Why Accounts Need Adjusting, we begin with the matching principle and adjusting entries rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Depreciation. the sharing of an asset's cost across the periods in which the asset is used

Depreciation names one specific idea needed here.

Accumulated depreciation. the total depreciation charged on an asset since it was bought

Accumulated depreciation names one specific idea needed here.

Contra account. an account that is deducted from a related account and has the opposite normal balance

Contra account names one specific idea needed here.

Adjusted trial balance. a trial balance prepared after the adjusting entries have been posted

Adjusted trial balance names one specific idea needed here.

Cash basis and accrual basis starts with a concrete question.

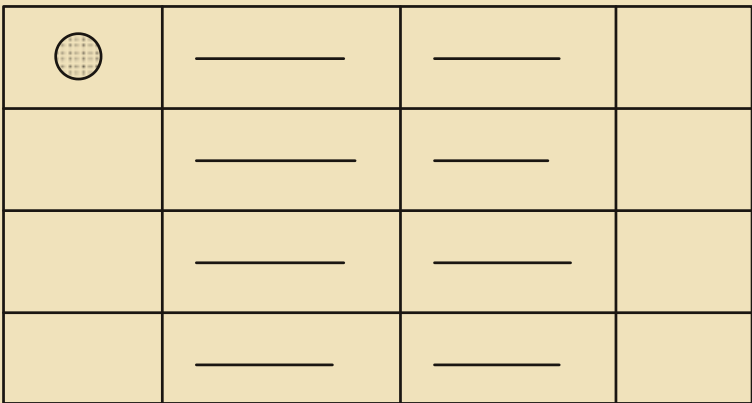
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The matching principle and adjusting entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



a timeline showing a payment made before, and a cost us

FIG. 8.1. a timeline showing a payment made before, and a cost used after, the month-end

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.2 PREPAID ITEMS AND UNEARNED REVENUE

Prepaid expenses and supplies used starts with a concrete question.

In Prepaid Items and Unearned Revenue, we begin with prepaid expenses and supplies used rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Unearned revenue earned over time starts with a concrete question.

In Prepaid Items and Unearned Revenue, we begin with unearned revenue earned over time rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

the four adjustment types in a two-by-two grid

FIG. 8.2. the four adjustment types in a two-by-two grid

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

8.3 ACCRUED ITEMS

In Accrued Items, we begin with accrued expenses such as unpaid wages rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Accrued expenses such as unpaid wages starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

In Accrued Items, we begin with accrued revenue not yet billed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Accrued revenue not yet billed starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

before-and-after trial balance columns for one adjustme

FIG. 8.3. *before-and-after trial balance columns for one adjustment*

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.4 DEPRECIATION AS AN ADJUSTMENT

Spreading the cost of equipment over its life starts with a concrete question.

In Depreciation as an Adjustment, we begin with spreading the cost of equipment over its life rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Accumulated depreciation as a contra account starts with a concrete question.

In Depreciation as an Adjustment, we begin with accumulated depreciation as a contra account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

8.5 THE ADJUSTED TRIAL BALANCE

In The Adjusted Trial Balance, we begin with applying the six adjustments to the trial balance rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Adjusted Trial Balance, we begin with checking that totals still agree rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Unadjusted trial balance at 31 January 2022 (Dr): Cash Tk 555,000; Accounts Receivable Tk 50,000; Supplies Tk 18,000; Prepaid Rent Tk 36,000; Equipment Tk 150,000; Owner's Drawings Tk 20,000; Wages Expense Tk 40,000; Utilities Expense Tk 8,000. (Cr): Accounts Payable Tk 38,000; Unearned Revenue Tk 24,000; Owner's Capital Tk 600,000; Service Revenue Tk 215,000. Each total Tk 877,000. Three events since the chapter 5 list: 2 Jan three months' rent paid in advance, Tk 36,000; 4 Jan supplies bought on account, Tk 18,000; 2 Jan a library paid Tk 24,000 for a 12-month repair contract running from 1 January. Month-end facts: (a) one month of rent used, Tk 12,000; (b) supplies on hand Tk 7,000, so Tk 11,000 used; (c) equipment cost Tk 150,000, residual Tk 30,000, 10 years, depreciation for one month Tk 1,000; (d) wages for the last days of January, unpaid, Tk 9,000; (e) one month of the library contract earned, Tk 2,000; (f) binding work finished but not billed, Tk 15,000. Adjusted balances by code: Accounts Receivable Tk 65,000; Supplies Tk 7,000; Prepaid Rent Tk 24,000; Accumulated Depreciation Tk 1,000 Cr; Wages Payable Tk 9,000 Cr; Unearned Revenue Tk 22,000 Cr;

Applying the six adjustments to the trial balance starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Checking that totals still agree starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Service Revenue Tk 232,000 Cr; Wages Expense Tk 49,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Adjusted totals Tk 902,000 each side.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

A further check keeps the rule tied to the facts.

facts change the classification or timing, the treatment must change for that reason.

The chapter can be reduced to a small set of working rules.

SUMMARY

Adjusting the Accounts is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

08.T1 What is the central problem that this chapter method is designed to solve?

08.T2 How would the treatment change if one important fact in the case were changed?

A common error is to use a familiar word without checking its accounting meaning.

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

The historical case shows why careful records matter beyond a textbook example.

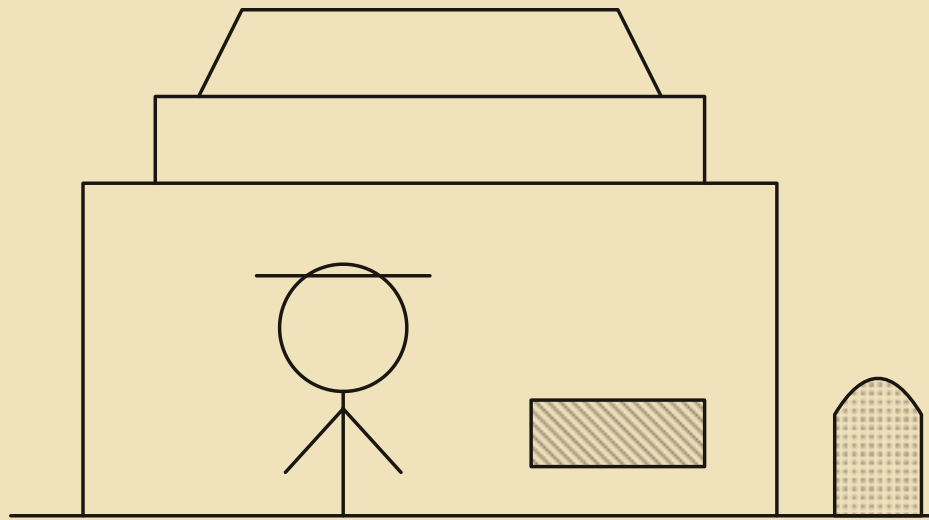
IN HISTORY

In September 2014 the British supermarket group Tesco announced that its profit had been overstated, because income from suppliers had been recorded too early. Search: Tesco 2014 profit overstatement supplier income timing. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

08.R1 State the main rule in your own words and apply it to a new small example.

08.R2 What check would you perform before accepting the result?



a drawing board with a wide ruled sheet, set squares an

a drawing board with a wide ruled sheet, set squares and compasses, 18

CHAPTER IX

The Worksheet

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Worksheet. a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns

Worksheet names one specific idea needed here.

Ten-column worksheet. a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet

Ten-column worksheet names one specific idea needed here.

Footing. adding up a column of figures to get its total

Footing names one specific idea needed here.

The worksheet as a working paper starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When and by whom it is prepared starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. The Worksheet addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

9.1 WHAT A WORKSHEET IS AND WHY IT HELPS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Worksheet** means a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ten-column worksheet** means a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Footing** means adding up a column of figures to get its total. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What a Worksheet Is and Why It Helps, we begin with the worksheet as a working paper rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What a Worksheet Is and Why It Helps, we begin with when and by whom it is prepared rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the ten columns as a labelled grid

FIG. 9.1. *the ten columns as a labelled grid*

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

9.2 BUILDING THE TEN-COLUMN WORKSHEET

In Building the Ten-Column Worksheet, we begin with trial balance and adjustment columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Building the Ten-Column Worksheet, we begin with adjusted trial balance, statement and balance sheet columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Trial balance and adjustment columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Adjusted trial balance, statement and balance sheet columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

arrows showing which accounts move to which statement c

FIG. 9.2. arrows showing which accounts move to which statement column

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

A SERVICE COMPANY WORKED THROUGH

Filling every column for the workshop starts with a concrete question.

In A Service Company Worked Through, we begin with filling every column for the workshop rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Finding net income as the balancing figure starts with a concrete question.

In A Service Company Worked Through, we begin with finding net income as the balancing figure rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Trial balance at 31 January 2022 (Dr): Cash Tk 555,000; Accounts Receivable Tk 50,000; Supplies Tk 18,000; Prepaid Rent Tk 36,000; Equipment Tk 150,000; Owner's Drawings Tk 20,000; Wages Expense Tk 40,000; Utilities Expense Tk 8,000 (total Tk 877,000). (Cr): Accounts Payable Tk 38,000; Unearned Revenue Tk 24,000; Owner's Capital Tk 600,000; Service Revenue Tk 215,000 (total Tk 877,000). Adjustments: (a) Rent Expense Dr, Prepaid Rent Cr Tk 12,000; (b) Supplies Expense Dr, Supplies Cr Tk 11,000; (c) Depreciation Expense Dr, Accumulated Depreciation Cr Tk 1,000; (d) Wages Expense Dr, Wages Payable Cr Tk 9,000; (e) Unearned Revenue Dr, Service Revenue Cr Tk 2,000; (f) Accounts Receivable Dr, Service Revenue Cr Tk 15,000. Adjusted totals Tk 902,000 each side. Income statement columns: debits (expenses) Tk 81,000, credits (revenue) Tk 232,000, net income Tk 151,000. Balance sheet columns: debits Tk 821,000, credits Tk 670,000, difference Tk 151,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The Worksheet is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

09.T1 What is the central problem that this chapter method is designed to solve?

09.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

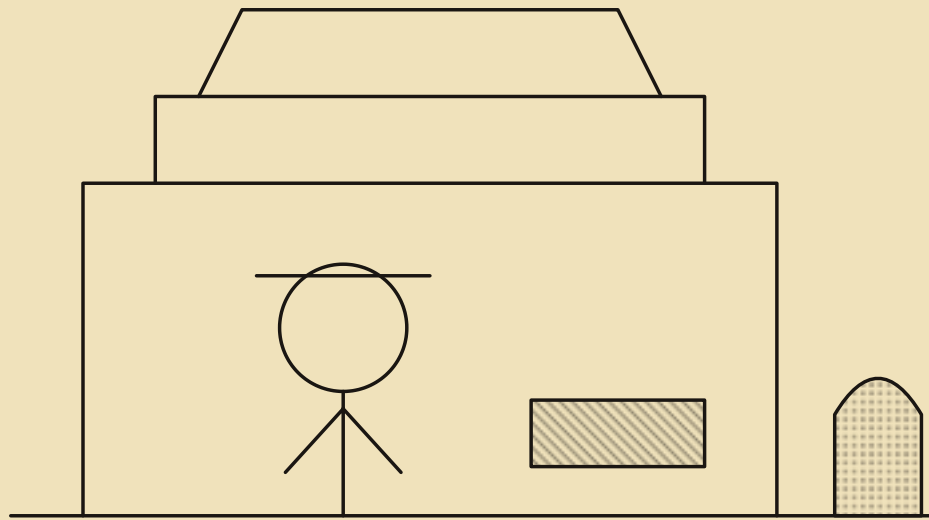
IN HISTORY

VisiCalc, the first spreadsheet program for personal computers, was released in 1979 for the Apple II by Dan Bricklin and Bob Frankston. Search: VisiCalc 1979 Bricklin Frankston paper ledger. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

09.R1 State the main rule in your own words and apply it to a new small example.

09.R2 What check would you perform before accepting the result?



a clerk locking a heavy iron safe at evening by candlel

a clerk locking a heavy iron safe at evening by candlelight, 1880s

CHAPTER X

Closing the Books

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Closing entry. a journal entry at the end of a period that moves a temporary account's balance to equity

Closing entry names one specific idea needed here.

Temporary account. an account for revenue, expense or drawings that is closed to zero at the end of each period

Temporary account names one specific idea needed here.

Permanent account. an account for an asset, liability or owner's capital whose balance carries into the next period

Permanent account names one specific idea needed here.

Income summary. a temporary account that collects revenue and expenses before the net result moves to capital

Income summary names one specific idea needed here.

Reversing entry. an entry made on the first day of a new period that cancels an earlier adjusting entry

Reversing entry names one specific idea needed here.

Income statement and equity statement from the worksheet starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Balance sheet from the worksheet starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Closing the Books addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

10.1 PREPARING THE STATEMENTS FROM THE WORKSHEET

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Closing entry** means a journal entry at the end of a period that moves a temporary account's balance to equity. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Temporary account** means an account for revenue, expense or drawings that is closed to zero at the end of each period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Permanent account** means an account for an asset, liability or owner's capital whose balance carries into the next period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income summary** means a temporary account that collects revenue and expenses before the net result moves to capital. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Reversing entry** means an entry made on the first day of a new period that cancels an earlier adjusting entry. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Preparing the Statements from the Worksheet, we begin with income statement and equity statement from the worksheet rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing the Statements from the Worksheet, we begin with balance sheet from the worksheet rather than a list of rules. The first task is to identify the item

or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the four closing entries as arrows into the income summ

FIG. 10.1. the four closing entries as arrows into the income summary and capital accounts

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

10.2 CLOSING ENTRIES

In Closing Entries, we begin with why temporary accounts are closed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Closing Entries, we begin with the four closing entries rather than a list of rules. The first task is to identify the item or event being described and to

Why temporary accounts are closed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The four closing entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

before-and-after view of temporary and permanent account

FIG. 10.2. before-and-after view of temporary and permanent accounts

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

10.3 REVERSING ENTRIES

What a reversing entry undoes starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When reversing is optional starts with a concrete question.

In Reversing Entries, we begin with what a reversing entry undoes rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Reversing Entries, we begin with when reversing is optional rather than a list of rules. The first task is to identify the item or event being described and to

separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Adjusted balances at 31 January 2022, from the worksheet: Cash Tk 555,000; Accounts Receivable Tk 65,000; Supplies Tk 7,000; Prepaid Rent Tk 24,000; Equipment Tk 150,000; Accumulated Depreciation Tk 1,000 Cr; Accounts Payable Tk 38,000; Wages Payable Tk 9,000; Unearned Revenue Tk 22,000; Owner's Capital Tk 600,000; Owner's Drawings Tk 20,000; Service Revenue Tk 232,000; Wages Expense Tk 49,000; Utilities Expense Tk 8,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Net income Tk 151,000 (revenue Tk 232,000 less expenses Tk 81,000). Closing capital Tk 731,000 (Tk 600,000 plus Tk 151,000 less Tk 20,000). Total assets Tk 800,000; total liabilities Tk 69,000. Reversing entry for the Tk 9,000 wages accrual is made on 1 February 2022.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

SUMMARY

Closing the Books is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

10.T1 What is the central problem that this chapter method is designed to solve?

10.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

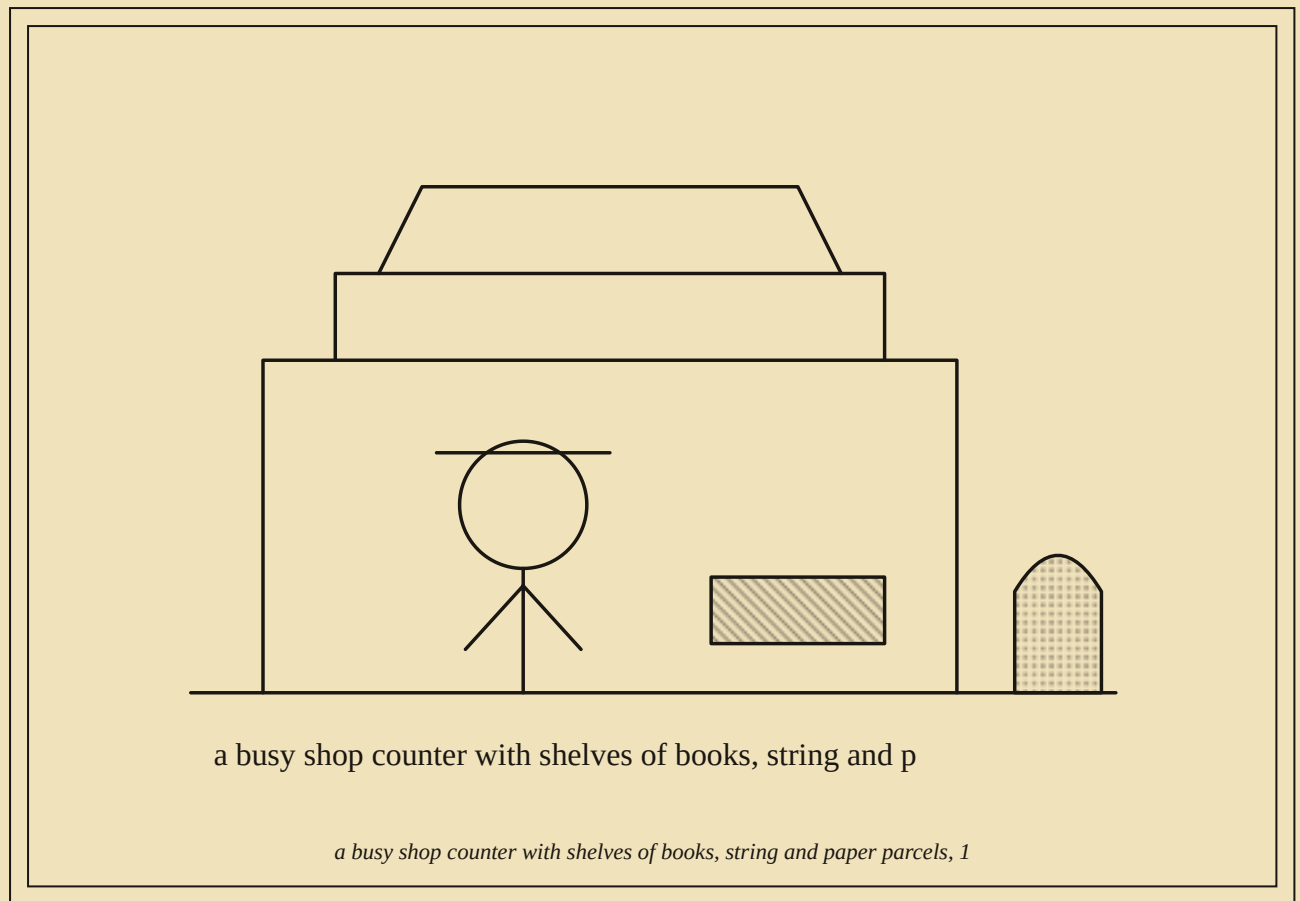
IN HISTORY

The British tax year begins on 6 April because of the calendar change of 1752, when eleven days were dropped and the old year-end of 25 March was moved forward. Search: why UK tax year starts 6 April 1752 calendar. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

10.R1 State the main rule in your own words and apply it to a new small example.

10.R2 What check would you perform before accepting the result?



CHAPTER XI

Merchandising Company Accounts and Classified Statements

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Merchandise inventory. the goods a merchandising firm holds for resale

Merchandise inventory names one specific idea needed here.

Purchases. the cost of goods bought during the period for resale

Purchases names one specific idea needed here.

Sales. the selling price of goods sold to customers during the period

Sales names one specific idea needed here.

Sales return. goods that a customer sends back, reducing sales

Sales return names one specific idea needed here.

Purchase return. goods that the firm sends back to a supplier, reducing purchases

Purchase return names one specific idea needed here.

Freight-in. the cost of carrying purchased goods to the firm's premises

Freight-in names one specific idea needed here.

Cost of goods sold. the cost of the goods that were sold during the period

Cost of goods sold names one specific idea needed here.

Gross profit. net sales less cost of goods sold

Gross profit names one specific idea needed here.

Product cost. a cost included in the cost of the goods themselves

Product cost names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Merchandising Company Accounts and Classified Statements addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

11.1 BUYING AND SELLING GOODS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Merchandise inventory** means the goods a merchandising firm holds for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases** means the cost of goods bought during the period for resale. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales** means the selling price of goods sold to customers during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales return** means goods that a customer sends back, reducing sales. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchase return** means goods that the firm sends back to a supplier, reducing purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Freight-in** means the cost of carrying purchased goods to the firm's premises. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost of goods sold** means the cost of the goods that were sold during the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Gross profit** means net sales less cost of goods sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Product cost** means a cost included in the cost of the goods themselves. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Period cost** means a cost of running the business that is charged to the period in which it occurs. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Operating expense** means a cost of running the business apart from the cost of goods sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Classified income statement** means an income statement that groups items into sections such as sales, cost of goods sold and operating expenses. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Current asset** means an asset expected to be turned into cash or used within one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Non-current asset** means an asset the firm expects to use for longer than one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Current liability** means a debt due for payment within one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Non-current liability** means a debt not due for payment until after one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Classified balance sheet** means a balance sheet that groups assets and liabilities into current and non-current sections. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Buying and Selling Goods, we begin with purchases, sales, returns and freight rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Period cost. a cost of running the business that is charged to the period in which it occurs

Period cost names one specific idea needed here.

Operating expense. a cost of running the business apart from the cost of goods sold

Operating expense names one specific idea needed here.

Classified income statement. an income statement that groups items into sections such as sales, cost of goods sold and operating expenses

Classified income statement names one specific idea needed here.

Current asset. an asset expected to be turned into cash or used within one year

Current asset names one specific idea needed here.

Non-current asset. an asset the firm expects to use for longer than one year

Non-current asset names one specific idea needed here.

Current liability. a debt due for payment within one year

Current liability names one specific idea needed here.

Non-current liability. a debt not due for payment until after one year

Non-current liability names one specific idea needed here.

Classified balance sheet. a balance sheet that groups assets and liabilities into current and non-current sections

Classified balance sheet names one specific idea needed here.

Purchases, sales, returns and freight starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Cost of goods sold and gross profit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Buying and Selling Goods, we begin with cost of goods sold and gross profit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

goods flowing from supplier to shop to customer with th

FIG. 11.1. goods flowing from supplier to shop to customer with the account for each step

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.2 PRODUCT COSTS AND PERIOD COSTS

Product costs versus period costs starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Product Costs and Period Costs, we begin with product costs versus period costs rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a classified income statement with section brackets

FIG. 11.2. a classified income statement with section brackets

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

11.3 THE CLASSIFIED INCOME STATEMENT

In The Classified Income Statement, we begin with net sales, cost of goods sold and gross profit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Net sales, cost of goods sold and gross profit starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

In The Classified Income Statement, we begin with operating expenses and net income rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Operating expenses and net income starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a classified balance sheet with current and non-current

FIG. 11.3. a classified balance sheet with current and non-current groups

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.4 THE CLASSIFIED BALANCE SHEET

Current and non-current assets and liabilities starts with a concrete question.

In The Classified Balance Sheet, we begin with current and non-current assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Why the grouping helps a lender starts with a concrete question.

In The Classified Balance Sheet, we begin with why the grouping helps a lender rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Year ended 31 December 2024, book sales. Sales Tk 3,100,000; sales returns Tk 40,000; inventory at 1 January Tk 180,000; purchases Tk 1,900,000; freight-in Tk 30,000; purchase returns Tk 25,000; inventory at 31 December Tk 210,000. Selling expenses: wages Tk 420,000; advertising Tk 60,000; delivery Tk 36,000. Administrative expenses: rent Tk 144,000; utilities Tk 48,000; insurance Tk 36,000; supplies Tk 24,000; depreciation Tk 45,000. Interest expense Tk 36,000. By code: net sales Tk 3,060,000; goods available Tk 2,085,000; cost of goods sold Tk 1,875,000; gross profit Tk 1,185,000; operating expenses Tk 813,000; operating profit Tk 372,000; net income Tk 336,000. Balance sheet at 31 December 2024: cash Tk 330,000; accounts receivable Tk 140,000; merchandise inventory Tk 210,000; supplies Tk 12,000; prepaid insurance Tk 18,000; equipment Tk 450,000 less accumulated depreciation Tk 90,000. Accounts payable Tk 160,000; wages payable Tk 14,000; unearned revenue Tk 10,000; bank loan Tk 300,000 repayable in three yearly instalments of Tk 100,000 from 2025 to 2027, so Tk 100,000 is current and Tk 200,000 is non-current. Total assets Tk 1,070,000; owner's capital at 1 January Tk 370,000; drawings Tk 120,000; closing capital Tk 586,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The chapter can be reduced to a small set of working rules.

Merchandising Company Accounts and Classified Statements is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

11.T1 What is the central problem that this chapter method is designed to solve?

11.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

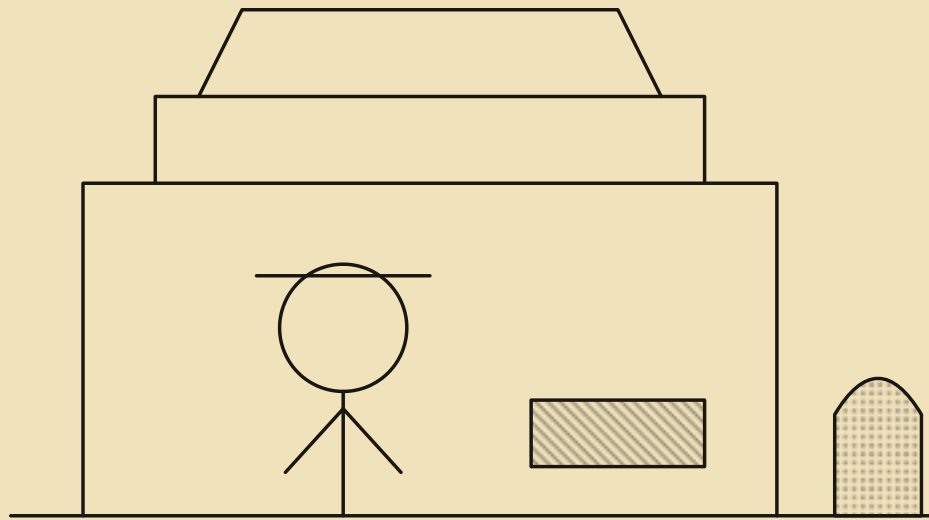
Amazon began selling books online from Seattle in July 1995, an example of a merchandising firm built on buying and reselling goods. Search: Amazon 1995 first books sold online. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

11.R1 State the main rule in your own words and apply it to a new small example.

11.R2 What check would you perform before accepting the result?



a post-office sorting table with pigeonholes and tied b

a post-office sorting table with pigeonholes and tied bundles of lette

CHAPTER XII

Special Journals and the Cash Book

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases

Special journal names one specific idea needed here.

General journal. the journal used for transactions that no special journal covers

General journal names one specific idea needed here.

Invoice. a document sent by a seller stating the goods or services supplied and the amount due

Invoice names one specific idea needed here.

Purchases journal. the special journal for goods bought on credit

Purchases journal names one specific idea needed here.

Sales journal. the special journal for goods sold on credit

Sales journal names one specific idea needed here.

Cash receipts journal. the special journal for all money received

Cash receipts journal names one specific idea needed here.

Cash disbursements journal. the special journal for all money paid out

Cash disbursements journal names one specific idea needed here.

Cash book. a book that records the receipts and payments passing through the firm's bank account

Cash book names one specific idea needed here.

Repeated transactions and the time they waste starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Special Journals and the Cash Book addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

12.1 WHY SPECIAL JOURNALS EXIST

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Special journal** means a journal used for only one kind of repeated transaction, such as credit purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **General journal** means the journal used for transactions that no special journal covers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Invoice** means a document sent by a seller stating the goods or services supplied and the amount due. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases journal** means the special journal for goods bought on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales journal** means the special journal for goods sold on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash receipts journal** means the special journal for all money received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash disbursements journal** means the special journal for all money paid out. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash book** means a book that records the receipts and payments passing through the firm's bank account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Why Special Journals Exist, we begin with repeated transactions and the time they waste rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *Why Special Journals Exist*, we begin with the general journal still has a place rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The general journal still has a place starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a purchases journal and a sales journal with their columns

FIG. 12.1. a purchases journal and a sales journal with their columns

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

12.2 PURCHASES AND SALES JOURNALS

In *Purchases and Sales Journals*, we begin with recording purchases on credit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Recording purchases on credit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording sales on credit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Purchases and Sales Journals, we begin with recording sales on credit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the small, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

a cash book with a receipts side and a payments side

FIG. 12.2. a cash book with a receipts side and a payments side

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

12.3 THE CASH BOOK AND CASH DISBURSEMENTS

Cash receipts and the cash book starts with a concrete question.

In The Cash Book and Cash Disbursements, we begin with cash receipts and the cash book rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Cash Book and Cash Disbursements, we begin with cash disbursements journal rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. May 2024. Credit purchases: 3 May Padma Books Ltd Tk 120,000; 11 May Jamuna Distributors Tk 85,000; 19 May Padma Books Ltd Tk 60,000; 27 May Surma Stationers Tk 45,000 (total Tk 310,000). Credit sales: 4 May Dhaka Public School Tk 70,000; 13 May Green Valley College Tk 95,000; 22 May Notun Library Tk 40,000 (total Tk 205,000). Bank receipts: 9 May cash sales banked Tk 150,000; 20 May Dhaka Public School Tk 70,000; 28 May Green Valley College Tk 95,000 (total Tk 315,000). Bank payments: 15 May Padma Books Ltd, cheque 5001 Tk 120,000; 17 May rent, cheque 5002 Tk 12,000; 25 May wages, cheque 5003 Tk 35,000; 30 May Jamuna Distributors, cheque 5004 Tk 85,000 (total Tk 252,000). Bank balance at 1 May Tk 250,000; cash book balance at 31 May Tk 313,000. Unpaid at 31 May: Padma Books Ltd Tk 60,000 and Surma Stationers Tk 45,000; Notun Library owes Tk 40,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Cash disbursements journal starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The chapter can be reduced to a small set of working rules.

SUMMARY

Special Journals and the Cash Book is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

12.T1 What is the central problem that this chapter method is designed to solve?

12.T2 How would the treatment change if one important fact in the case were changed?

A common error is to use a familiar word without checking its accounting meaning.

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

The historical case shows why careful records matter beyond a textbook example.

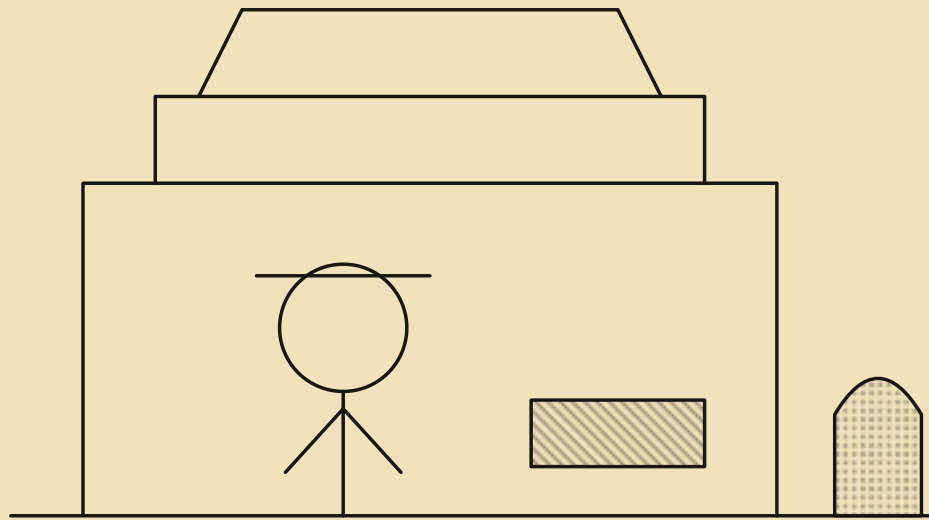
IN HISTORY

Francesco di Marco Datini, a merchant of Prato (about 1335 to 1410), kept many separate books for his trade; the surviving archive holds hundreds of ledgers and tens of thousands of letters. Search: Datini archive Prato ledgers letters. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

12.R1 State the main rule in your own words and apply it to a new small example.

12.R2 What check would you perform before accepting the result?



a bank teller behind a brass-grilled window counting co

a bank teller behind a brass-grilled window counting coins into a tray

CHAPTER XIII

Bank Reconciliation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Bank statement. a report from the bank listing the deposits, withdrawals and balance on the firm's account

Bank statement names one specific idea needed here.

Bank reconciliation statement. a statement that explains the difference between the cash book balance and the bank statement balance

Bank reconciliation statement names one specific idea needed here.

Outstanding cheque. a cheque the firm has written and recorded but the bank has not yet paid

Outstanding cheque names one specific idea needed here.

Deposit in transit. money the firm has recorded as banked but the bank has not yet added to its statement

Deposit in transit names one specific idea needed here.

Debit memo. a bank notice that it has taken money out of the firm's account, for example a charge

Debit memo names one specific idea needed here.

Credit memo. a bank notice that it has added money to the firm's account, for example a direct customer payment

Credit memo names one specific idea needed here.

Adjusted cash balance. the correct bank balance after all reconciling items have been included

Adjusted cash balance names one specific idea needed here.

Two records of one bank account starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Bank Reconciliation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

13.1 CASH BOOK AND BANK STATEMENT

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Bank statement** means a report from the bank listing the deposits, withdrawals and balance on the firm's account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Bank reconciliation statement** means a statement that explains the difference between the cash book balance and the bank statement balance. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Outstanding cheque** means a cheque the firm has written and recorded but the bank has not yet paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Deposit in transit** means money the firm has recorded as banked but the bank has not yet added to its statement. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Debit memo** means a bank notice that it has taken money out of the firm's account, for example a charge. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Credit memo** means a bank notice that it has added money to the firm's account, for example a direct customer payment. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Adjusted cash balance** means the correct bank balance after all reconciling items have been included. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Cash Book and Bank Statement, we begin with two records of one bank account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Cash Book and Bank Statement, we begin with why the balances rarely agree rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why the balances rarely agree starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash book and a bank statement side by side with matc

FIG. 13.1. a cash book and a bank statement side by side with matching items marked

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

13.2 CAUSES OF DIFFERENCES; DEBIT AND CREDIT MEMOS

In Causes of Differences; Debit and Credit Memos, we begin with timing differences: deposits in transit and outstanding cheques rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Timing differences: deposits in transit and outstanding cheques starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Items the bank records first: charges and direct deposits starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Causes of Differences; Debit and Credit Memos, we begin with items the bank records first: charges and direct deposits rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the reconciliation statement as a two-column layout

FIG. 13.2. *the reconciliation statement as a two-column layout*

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

13.3 PREPARING THE RECONCILIATION STATEMENT

The two-sided reconciliation layout starts with a concrete question.

In Preparing the Reconciliation Statement, we begin with the two-sided reconciliation layout rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Preparing the Reconciliation Statement, we begin with journal entries after reconciling rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Cash book balance at 31 May 2024 Tk 313,000 (see May 2024 receipts and payments). Items found when the bank statement arrived: cheque 5004 for Tk 85,000 to Jamuna Distributors not yet presented; the Tk 95,000 received from Green Valley College on 28 May banked on 31 May but not yet shown by the bank; bank charges of Tk 1,500 not yet in the cash book; a direct payment of Tk 8,000 from Notun Library into the bank, not yet in the cash book. By code: adjusted cash book balance Tk 319,500; bank statement balance Tk 309,500.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entries after reconciling starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

SUMMARY

The chapter can be reduced to a small set of working rules.

Bank Reconciliation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

13.T1 What is the central problem that this chapter method is designed to solve?

13.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

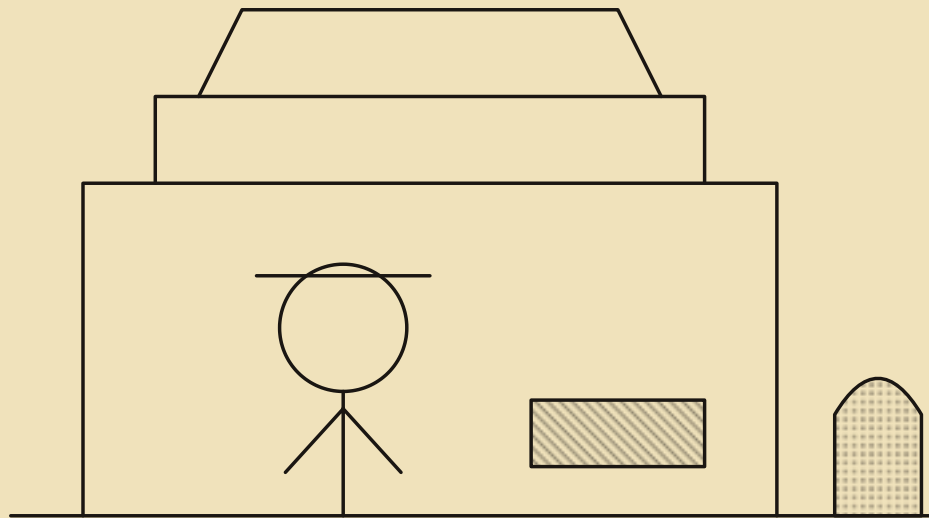
The historical case shows why careful records matter beyond a textbook example.

In February 2016 criminals sent fraudulent payment instructions in the name of Bangladesh Bank, and about US\$81 million reached accounts in the Philippines. Search: Bangladesh Bank 2016 SWIFT heist US\$81 million. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

13.R1 State the main rule in your own words and apply it to a new small example.

13.R2 What check would you perform before accepting the result?



a warehouse interior with stacked crates, sacks and a c

a warehouse interior with stacked crates, sacks and a clerk with a tal

CHAPTER XIV

Inventory

*What must be made visible before the next step can be
trusted?*



*This chapter builds one accounting idea at a time, from a practical
problem to a rule and a checked application.*

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Inventory. goods a business holds for sale, or materials and part-made goods it holds to make products

Inventory names one specific idea needed here.

Raw materials. the basic materials a manufacturer buys to make its products

Raw materials names one specific idea needed here.

Work in process. goods that have been started in production but are not yet finished

Work in process names one specific idea needed here.

Finished goods. completed products waiting to be sold

Finished goods names one specific idea needed here.

Stockout. a shortage that occurs when goods are wanted by customers but none are available

Stockout names one specific idea needed here.

Cost flow assumption. a rule that decides which purchase costs are assigned to goods sold and which to goods still held

Cost flow assumption names one specific idea needed here.

First-in, first-out (FIFO). the cost flow assumption that treats the oldest goods as the first sold

First-in, first-out (FIFO) names one specific idea needed here.

Last-in, first-out (LIFO). the cost flow assumption that treats the newest goods as the first sold

Last-in, first-out (LIFO) names one specific idea needed here.

Weighted average cost. a method that gives each unit the average cost of all units available

Weighted average cost names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Inventory addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

14.1 WHAT INVENTORY IS AND ITS TYPES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Inventory** means goods a business holds for sale, or materials and part-made goods it holds to make products. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Raw materials** means the basic materials a manufacturer buys to make its products. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Work in process** means goods that have been started in production but are not yet finished. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Finished goods** means completed products waiting to be sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Stockout** means a shortage that occurs when goods are wanted by customers but none are available. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost flow assumption** means a rule that decides which purchase costs are assigned to goods sold and which to goods still held. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **First-in, first-out (FIFO)** means the cost flow assumption that treats the oldest goods as the first sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Last-in, first-out (LIFO)** means the cost flow assumption that treats the newest goods as the first sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Weighted average cost** means a method that gives each unit the average cost of all units available. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ending inventory** means the cost of goods still held at the end of the period. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In *What Inventory Is and Its Types*, we begin with inventory as a current asset rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *What Inventory Is and Its Types*, we begin with raw materials, work in process and finished goods rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Ending inventory. the cost of goods still held at the end of the period

Ending inventory names one specific idea needed here.

Inventory as a current asset starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Raw materials, work in process and finished goods starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

layers of inventory by purchase date, with arrows for F

FIG. 14.1. *layers of inventory by purchase date, with arrows for FIFO and LIFO*

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

14.2 WHY FIRMS KEEP INVENTORY, AND TOO MUCH OR TOO LITTLE

Reasons for holding inventory and the dangers of too little or too much starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Why Firms Keep Inventory, and Too Much or Too Little, we begin with reasons for holding inventory and the dangers of too little or too much rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a three-column comparison of the closing stock value, t

FIG. 14.2. a three-column comparison of the closing stock value, the goods sold figure and gross profit for each method

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

14.3 FIFO

Cost flow and first-in, first-out starts with a concrete question.

In FIFO, we begin with cost flow and first-in, first-out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In FIFO, we begin with ending inventory under fifo rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Ending inventory under FIFO starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a timeline of purchases and sales for the textbook

FIG. 14.3. a timeline of purchases and sales for the textbook

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

14.4 LIFO AND WEIGHTED AVERAGE

In LIFO and Weighted Average, we begin with last-in, first-out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Last-in, first-out starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Weighted average cost starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In LIFO and Weighted Average, we begin with weighted average cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

14.5 COMPARING METHODS; INCOME AND TAX

What each method does to profit in rising prices starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Choosing a method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Comparing Methods; Income and Tax, we begin with what each method does to profit in rising prices rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Comparing Methods; Income and Tax, we begin with choosing a method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should

change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. October 2024, one title, a first-year Business Mathematics textbook, periodic system. Opening inventory 1 October: 100 units at Tk 400. Purchases: 8 October 200 units at Tk 430; 16 October 150 units at Tk 450; 25 October 50 units at Tk 460. Sales in October: 380 units at Tk 700 each, total Tk 266,000. By code: goods available 500 units, Tk 216,500; ending inventory 120 units. FIFO: ending inventory Tk 54,500; cost of goods sold Tk 162,000; gross profit Tk 104,000. LIFO: ending inventory Tk 48,600; cost of goods sold Tk 167,900; gross profit Tk 98,100. Weighted average cost Tk 433 per unit: ending inventory Tk 51,960; cost of goods sold Tk 164,540; gross profit Tk 101,460. Note: IAS 2 does not permit LIFO, so teach it as a concept and say so.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

SUMMARY

Inventory is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

14.T1 What is the central problem that this chapter method is designed to solve?

14.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A common error is to use a familiar word without checking its accounting meaning.

IN HISTORY

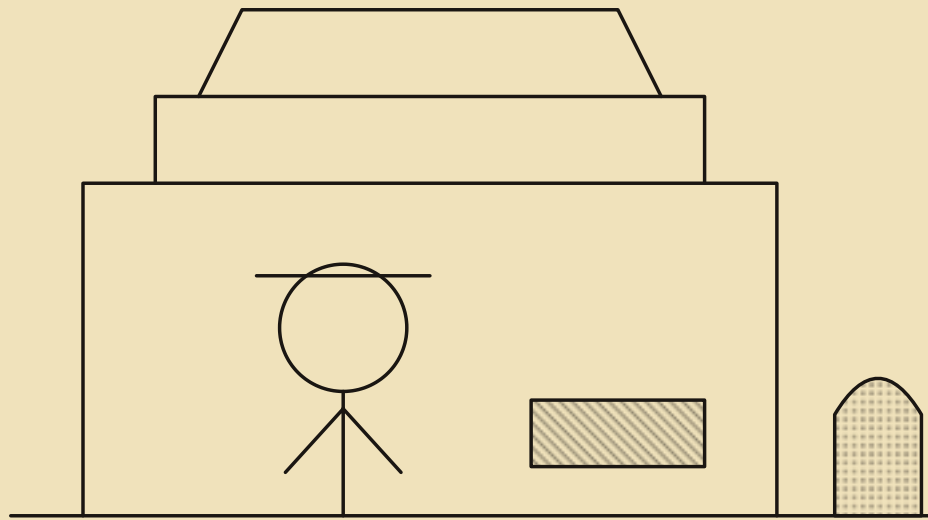
In April 2001 Cisco announced a write-down of about US\$2.25 billion on excess inventory after demand for its equipment fell. Search: Cisco April 2001 inventory write-down excess. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

14.R1 State the main rule in your own words and apply it to a new small example.

14.R2 What check would you perform before accepting the result?



a steam-driven printing press with a mechanic oiling it

a steam-driven printing press with a mechanic oiling its wheels, 1880s

CHAPTER XV

Plant Assets and Depreciation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business

Plant asset names one specific idea needed here.

Capital expenditure. spending that adds to the cost of an asset, including delivery and installation

Capital expenditure names one specific idea needed here.

Useful life. the period over which an asset is expected to be of use to the business

Useful life names one specific idea needed here.

Residual value. the amount the firm expects to receive when it disposes of the asset at the end of its useful life

Residual value names one specific idea needed here.

Depreciable cost. the cost of an asset less its residual value

Depreciable cost names one specific idea needed here.

Straight-line method. a method that charges the same depreciation each year

Straight-line method names one specific idea needed here.

Units-of-production method. a method that charges depreciation in proportion to how much the asset is used

Units-of-production method names one specific idea needed here.

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost

Sum-of-the-years'-digits method names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Plant Assets and Depreciation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

15.1 NATURE AND COST OF PLANT ASSETS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Plant asset** means a long-lived physical asset, such as equipment or a building, used in running the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Capital expenditure** means spending that adds to the cost of an asset, including delivery and installation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Useful life** means the period over which an asset is expected to be of use to the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Residual value** means the amount the firm expects to receive when it disposes of the asset at the end of its useful life. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciable cost** means the cost of an asset less its residual value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Straight-line method** means a method that charges the same depreciation each year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Units-of-production method** means a method that charges depreciation in proportion to how much the asset is used. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sum-of-the-years'-digits method** means a method that charges more depreciation in early years, using a falling fraction of depreciable cost. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Book value** means an asset's cost less its accumulated depreciation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciation schedule** means a table showing the depreciation, accumulated depreciation and book value for each year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Nature and Cost of Plant Assets, we begin with what a plant asset is rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Nature and Cost of Plant Assets, we begin with what goes into its cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Book value. an asset's cost less its accumulated depreciation

Book value names one specific idea needed here.

Depreciation schedule. a table showing the depreciation, accumulated depreciation and book value for each year

Depreciation schedule names one specific idea needed here.

What a plant asset is starts with a concrete question.

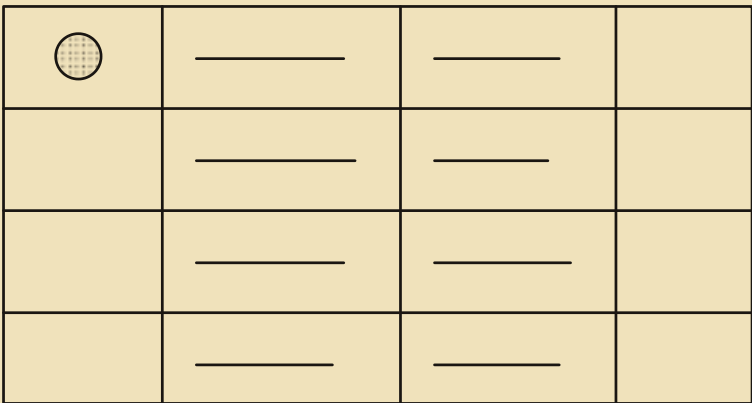
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

What goes into its cost starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



three bar charts of yearly depreciation under the three

FIG. 15.1. *three bar charts of yearly depreciation under the three methods*

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.2 WHY WE DEPRECIATE; FACTORS THAT AFFECT IT

Useful life, residual value and depreciable cost starts with a concrete question.

In Why We Depreciate; Factors That Affect It, we begin with useful life, residual value and depreciable cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Depreciation expense versus accumulated depreciation starts with a concrete question.

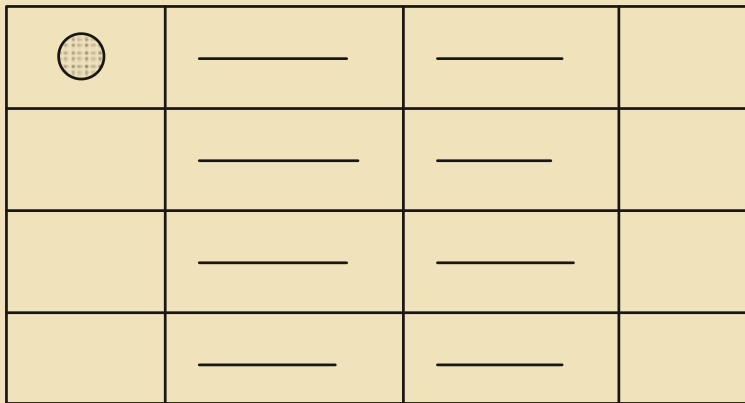
In Why We Depreciate; Factors That Affect It, we begin with depreciation expense versus accumulated depreciation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



book value falling year by year on one axis

FIG. 15.2. *book value falling year by year on one axis*

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

15.3 STRAIGHT-LINE AND UNITS OF PRODUCTION

In Straight-Line and Units of Production, we begin with straight-line method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Straight-line method starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

In Straight-Line and Units of Production, we begin with units-of-production method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Units-of-production method starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

a depreciation schedule table

FIG. 15.3. a depreciation schedule table

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.4 SUM OF THE YEARS' DIGITS

Sum-of-the-years'-digits method starts with a concrete question.

In Sum of the Years' Digits, we begin with sum-of-the-years'-digits method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Comparing the three patterns starts with a concrete question.

In Sum of the Years' Digits, we begin with comparing the three patterns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

15.5 SCHEDULES, DISPOSAL AND STATEMENT PRESENTATION

In Schedules, Disposal and Statement Presentation, we begin with depreciation schedule and balance sheet presentation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Schedules, Disposal and Statement Presentation, we begin with selling a plant asset at a gain or a loss rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. On 1 January 2023 the firm bought an automatic binding machine for Tk 480,000 and paid Tk 20,000 for delivery and installation, total cost Tk 500,000. Useful life 5 years; residual value Tk 50,000; depreciable cost Tk 450,000. By code, straight-line Tk 90,000 a year. Sum of the years' digits (15): Tk 150,000; Tk 120,000; Tk 90,000; Tk 60,000; Tk 30,000. Units of production: expected output 900,000 books bound, Tk 0.50 a book; output 200,000 in 2023, 250,000 in 2024, 180,000 in 2025, giving Tk 100,000; Tk 125,000; Tk 90,000. Under straight-line, accumulated depreciation at 31 December 2025 is Tk 270,000 and book value Tk 230,000. The machine was sold on 31 December 2025 for Tk 190,000, a loss of Tk 40,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Depreciation schedule and balance sheet presentation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Selling a plant asset at a gain or a loss starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

SUMMARY

Plant Assets and Depreciation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

15.T1 What is the central problem that this chapter method is designed to solve?

15.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

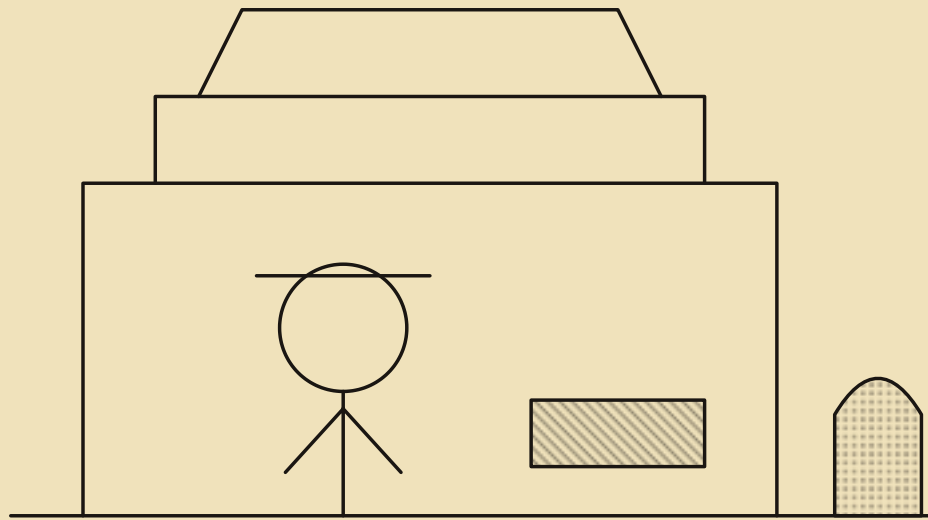
IN HISTORY

In 1998 the waste company Waste Management restated years of earnings after it was found that useful lives of its vehicles and containers had been extended without good reason. Search: Waste Management 1998 restatement depreciation useful lives SEC. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

15.R1 State the main rule in your own words and apply it to a new small example.

15.R2 What check would you perform before accepting the result?



two partners shaking hands over a desk with a sealed do

two partners shaking hands over a desk with a sealed document between

CHAPTER XVI

Non-Trading Concerns and Partnership Accounts

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Non-trading concern. an organisation, such as a club, that exists to serve its members and not to earn profit

Non-trading concern names one specific idea needed here.

Receipts and payments account. a summary of all cash received and paid in a period, whatever period it belongs to

Receipts and payments account names one specific idea needed here.

Income and expenditure account. the report of a non-trading concern that matches income and costs to the period, like an income statement

Income and expenditure account names one specific idea needed here.

Surplus. the amount by which income is greater than expenditure in a non-trading concern

Surplus names one specific idea needed here.

Deficit. the amount by which expenditure is greater than income in a non-trading concern

Deficit names one specific idea needed here.

Subscription. a regular payment that a member makes to a club

Subscription names one specific idea needed here.

Partnership deed. the written agreement among partners on how the business is run and profit shared

Partnership deed names one specific idea needed here.

Profit-sharing ratio. the agreed proportions in which partners share profit and loss

Profit-sharing ratio names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Non-Trading Concerns and Partnership Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

16.1 NON-TRADING CONCERNS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Non-trading concern** means an organisation, such as a club, that exists to serve its members and not to earn profit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Receipts and payments account** means a summary of all cash received and paid in a period, whatever period it belongs to. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income and expenditure account** means the report of a non-trading concern that matches income and costs to the period, like an income statement. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Surplus** means the amount by which income is greater than expenditure in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Deficit** means the amount by which expenditure is greater than income in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Subscription** means a regular payment that a member makes to a club. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Partnership deed** means the written agreement among partners on how the business is run and profit shared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit-sharing ratio** means the agreed proportions in which partners share profit and loss. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Interest on capital** means an agreed payment to a partner for the capital put into the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Appropriation account** means the account that shows how a partnership's profit is divided among the partners. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Non-Trading Concerns, we begin with receipts and payments account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Non-Trading Concerns, we begin with income and expenditure account and surplus rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Interest on capital. an agreed payment to a partner for the capital put into the business

Interest on capital names one specific idea needed here.

Appropriation account. the account that shows how a partnership's profit is divided among the partners

Appropriation account names one specific idea needed here.

Receipts and payments account starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Income and expenditure account and surplus starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a receipts and payments account converted into an incom

FIG. 16.1. a receipts and payments account converted into an income and expenditure account

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

16.2 FORMING A PARTNERSHIP AND THE DEED

Features of a partnership starts with a concrete question.

In Forming a Partnership and the Deed, we begin with features of a partnership rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Contents of a partnership deed starts with a concrete question.

In Forming a Partnership and the Deed, we begin with contents of a partnership deed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of a profit appropriation account

FIG. 16.2. the order of a profit appropriation account

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

16.3 SHARING PROFIT AND PARTNERS' CAPITAL

In Sharing Profit and Partners' Capital, we begin with profit-sharing ratio, interest and salary rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Profit-sharing ratio, interest and salary starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

In Sharing Profit and Partners' Capital, we begin with the appropriation account and partners' balances rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The appropriation account and partners' balances starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

* * *

WORKED CASE

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Situation. Meghna and Sons, illustrative. Club: the Meghna Readers' Club, begun by the family in 2023. Receipts and payments for the year ended 31 December 2024: opening cash Tk 15,000; subscriptions received Tk 84,000; donations Tk 20,000; sale of old books Tk 9,000; payments for hall rent Tk 36,000, newspapers and magazines Tk 12,000, new books Tk 18,000, librarian's salary Tk 24,000, refreshments Tk 7,000. Closing cash Tk 31,000. Adjustments: subscriptions owing for 2024 Tk 4,000; subscriptions received in advance for 2025 Tk 6,000; hall rent owing Tk 3,000. By code: income Tk 111,000; expenditure Tk 100,000; surplus Tk 11,000. Partnership: from 1 January 2025 Karim Meghna and his son Imran Meghna are partners. Capital: Karim Tk 600,000; Imran Tk 300,000. Terms: interest on capital 5% a year; salary to Imran Tk 60,000; the rest shared 2:1 (Karim:Imran). Profit before appropriation for 2025 Tk 420,000. By code: interest Karim Tk 30,000, Imran Tk 15,000; remainder Tk 315,000, Karim Tk 210,000, Imran Tk 105,000; totals Karim Tk 240,000, Imran Tk 180,000. Drawings: Karim Tk 90,000; Imran Tk 60,000. Closing balances Karim Tk 750,000; Imran Tk 420,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular

<i>A further check keeps the rule tied to the facts.</i>	remain stable. When the facts change the classification or timing, the treatment must change for that reason. Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
<i>A further check keeps the rule tied to the facts.</i>	Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
<i>A further check keeps the rule tied to the facts.</i>	Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
<i>A further check keeps the rule tied to the facts.</i>	Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
<i>A further check keeps the rule tied to the facts.</i>	Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.
<i>A further check keeps the rule tied to the facts.</i>	Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The chapter can be reduced to a small set of working rules.

SUMMARY
Non-Trading Concerns and Partnership Accounts is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH
16.T1 What is the central problem that this chapter method is designed to solve?
16.T2 How would the treatment change if one important fact in the case were changed?

A common error is to use a familiar word without checking its accounting meaning.

WHERE PEOPLE GO WRONG
Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record

the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

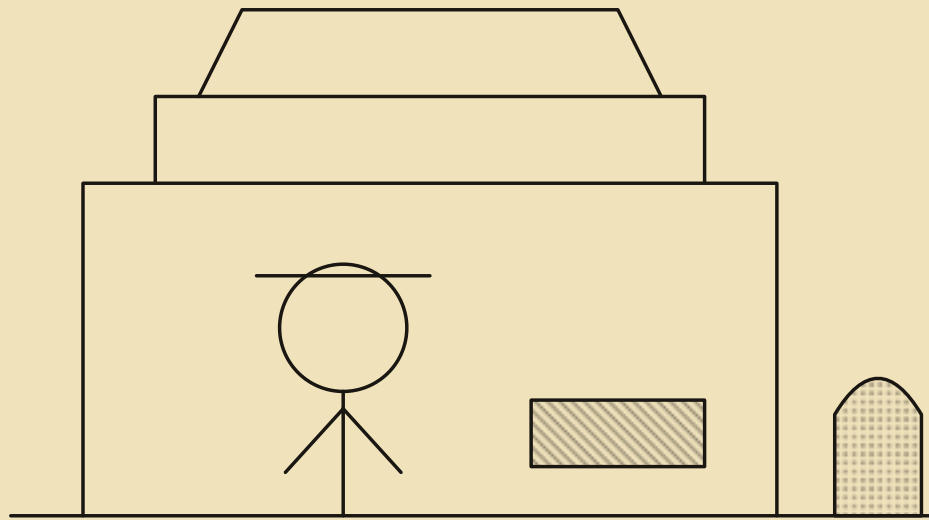
BRAC, a non-profit organisation, was founded in 1972 by Fazle Hasan Abed to help refugees returning to Bangladesh after the war, and became one of the world's largest non-governmental organisations. Search: BRAC founded 1972 Fazle Hasan Abed Sulla. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

The historical case shows why careful records matter beyond a textbook example.

REVIEW QUESTIONS

16.R1 State the main rule in your own words and apply it to a new small example.

16.R2 What check would you perform before accepting the result?



an auctioneer with a gavel in a half-empty warehouse, a

an auctioneer with a gavel in a half-empty warehouse, a few buyers in

CHAPTER XVII

Partnership Liquidation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Liquidation. the process of selling a business's assets, paying its debts and sharing what is left among the owners

Liquidation names one specific idea needed here.

Realisation. the sale of the assets of a business for cash

Realisation names one specific idea needed here.

Capital deficiency. a debit balance in a partner's capital account after losses are shared

Capital deficiency names one specific idea needed here.

Cash distribution schedule. a table that shows how cash is paid out to creditors and partners step by step

Cash distribution schedule names one specific idea needed here.

Liquidation and the reasons partnerships end starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Partnership Liquidation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

17.1 WHAT LIQUIDATION MEANS AND WHY IT HAPPENS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Liquidation** means the process of selling a business's assets, paying its debts and sharing what is left among the owners. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Realisation** means the sale of the assets of a business for cash. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Capital deficiency** means a debit balance in a partner's capital account after losses are shared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash distribution schedule** means a table that shows how cash is paid out to creditors and partners step by step. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Liquidation Means and Why It Happens, we begin with liquidation and the reasons partnerships end rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the order of payment in a liquidation as a stair of thr

FIG. 17.1. the order of payment in a liquidation as a stair of three steps

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

The figure shows the same relationship in a compact visual form.

* * *

17.2 SELLING ASSETS AND PAYING CREDITORS

In Selling Assets and Paying Creditors, we begin with realisation of non-cash assets and the loss on realisation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Realisation of non-cash assets and the loss on realisation starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

In Selling Assets and Paying Creditors, we begin with paying liabilities before partners rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Paying liabilities before partners starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

The procedure keeps the idea tied to the facts.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash distribution schedule with a column for each par

FIG. 17.2. a cash distribution schedule with a column for each partner

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

17.3 DISTRIBUTING CASH TO PARTNERS

Closing partners' capital and the cash distribution schedule starts with a concrete question.

In Distributing Cash to Partners, we begin with closing partners' capital and the cash distribution schedule rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

When a partner has a capital deficiency starts with a concrete question.

In Distributing Cash to Partners, we begin with when a partner has a capital deficiency rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. A planning exercise on 31 March 2026: the partners Karim and Imran Meghna study what would happen if the partnership were closed. Balance sheet: cash Tk 100,000; non-cash assets Tk 800,000; liabilities Tk 300,000; capital Karim Tk 450,000 and Imran Tk 150,000 (Tk 900,000 each side). Losses are shared 2:1. By code: (A) non-cash assets sold for Tk 590,000, loss Tk 210,000 (Karim Tk 140,000; Imran Tk 70,000); cash Tk 690,000, after paying liabilities Tk 390,000 is shared: Karim Tk 310,000; Imran Tk 80,000. (B) assets sold for Tk 320,000, loss Tk 480,000 (Karim Tk 320,000; Imran Tk 160,000); Imran's capital falls to a deficiency of Tk 10,000, which he pays in cash, so Karim receives Tk 130,000. (C) as (B) but Imran cannot pay; Karim absorbs the Tk 10,000 and receives Tk 120,000. The firm in fact continued.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

SUMMARY

Partnership Liquidation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

The chapter can be reduced to a small set of working rules.

examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

17.T1 What is the central problem that this chapter method is designed to solve?

17.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

A common error is to use a familiar word without checking its accounting meaning.

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

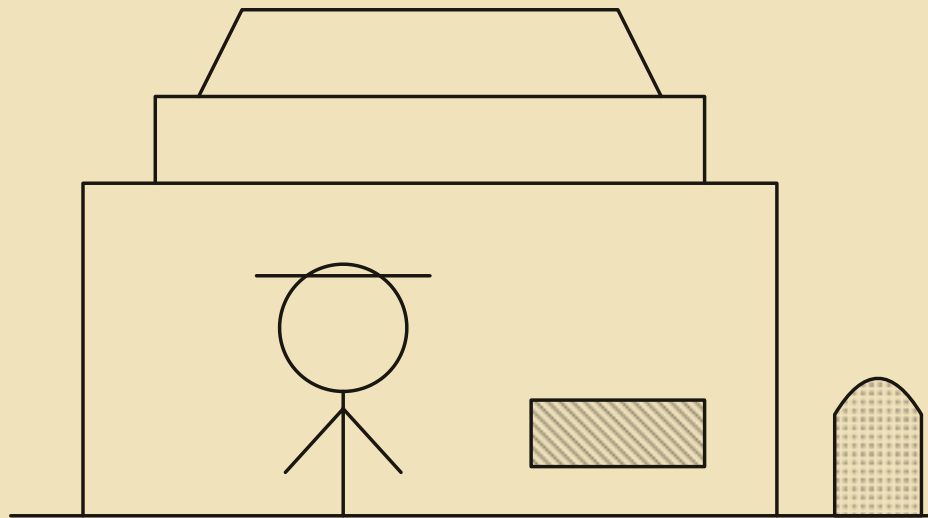
The historical case shows why careful records matter beyond a textbook example.

Arthur Andersen, one of the world's largest accounting partnerships, wound down in 2002 after its conviction for obstruction of justice linked to the Enron audit. Search: Arthur Andersen 2002 conviction wind-down partnership. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

17.R1 State the main rule in your own words and apply it to a new small example.

17.R2 What check would you perform before accepting the result?



a stock exchange floor with merchants in top hats excha

a stock exchange floor with merchants in top hats exchanging paper cer

CHAPTER XVIII

Company Accounting and Shares

*What must be made visible before the next step can be
trusted?*



*This chapter builds one accounting idea at a time, from a practical
problem to a rule and a checked application.*

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Share. one of the equal parts into which a company's capital is divided

Share names one specific idea needed here.

Shareholder. a person or organisation that owns one or more shares in a company

Shareholder names one specific idea needed here.

Limited liability. the rule that shareholders can lose no more than they have paid or agreed to pay for their shares

Limited liability names one specific idea needed here.

Ordinary share. a share that carries the right to vote and to receive the profit left after other claims

Ordinary share names one specific idea needed here.

Preference share. a share that has a right to a fixed dividend before ordinary shareholders are paid

Preference share names one specific idea needed here.

Par value. the face value printed on a share

Par value names one specific idea needed here.

Share premium. the amount a company receives above par value when it issues a share

Share premium names one specific idea needed here.

Dividend. a share of a company's profit paid to its shareholders

Dividend names one specific idea needed here.

Application money. the first payment, made with a request to buy shares

Application money names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Company Accounting and Shares addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

18.1 WHAT A COMPANY IS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Share** means one of the equal parts into which a company's capital is divided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Shareholder** means a person or organisation that owns one or more shares in a company. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Limited liability** means the rule that shareholders can lose no more than they have paid or agreed to pay for their shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ordinary share** means a share that carries the right to vote and to receive the profit left after other claims. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Preference share** means a share that has a right to a fixed dividend before ordinary shareholders are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Par value** means the face value printed on a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Share premium** means the amount a company receives above par value when it issues a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Dividend** means a share of a company's profit paid to its shareholders. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Application money** means the first payment, made with a request to buy shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Allotment** means the company's decision to give shares to applicants, with the payment due on that step. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Call** means a later request to shareholders to pay part of the amount still owed on their shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In *What a Company Is*, we begin with the company as a separate legal person rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In *What a Company Is*, we begin with limited liability rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Allotment. the company's decision to give shares to applicants, with the payment due on that step

Allotment names one specific idea needed here.

Call. a later request to shareholders to pay part of the amount still owed on their shares

Call names one specific idea needed here.

The company as a separate legal person starts with a concrete question.

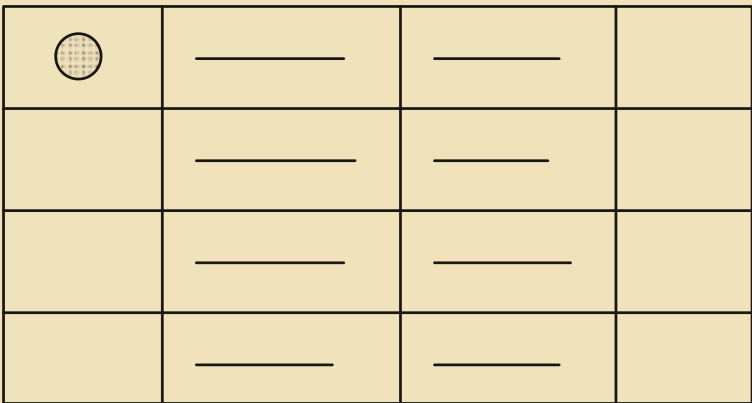
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Limited liability starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



owners, shares and company shown as three layers

FIG. 18.1. owners, shares and company shown as three layers

The figure shows the same relationship in a compact visual form.

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

18.2 TYPES OF SHARES

Ordinary and preference shares starts with a concrete question.

In Types of Shares, we begin with ordinary and preference shares rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Par value and share premium starts with a concrete question.

In Types of Shares, we begin with par value and share premium rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the stages of issuing a share, with the amount due at e

FIG. 18.2. the stages of issuing a share, with the amount due at each stage

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

18.3 ISSUING SHARES

In Issuing Shares, we begin with application, allotment and calls rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Issuing Shares, we begin with journal entries for each stage rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Application, allotment and calls starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entries for each stage starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

* * *

WORKED CASE

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Situation. Meghna and Sons, illustrative. On 1 July 2026 the family business became Meghna Books Limited. Authorised capital Tk 6,000,000: 400,000 ordinary shares of Tk 10 par value and 20,000 6% preference shares of Tk 100 par value. Issue of 200,000 ordinary shares at Tk 12 each, payable Tk 4 on application, Tk 5 on allotment (including the Tk 2 premium) and Tk 3 on the final call. By code: application Tk 800,000; allotment Tk 1,000,000; call Tk 600,000; total Tk 2,400,000, of which share capital Tk 2,000,000 and share premium Tk 400,000. All applicants pay in full on each due date. 20,000 preference shares issued at par for cash, Tk 2,000,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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A further check keeps the rule tied to the facts.

SUMMARY

Company Accounting and Shares is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

The chapter can be reduced to a small set of working rules.

THINK IT THROUGH

18.T1 What is the central problem that this chapter method is designed to solve?

18.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record

A common error is to use a familiar word without checking its accounting meaning.

the number belongs to. Correction. Name the period and record before calculating.

The historical case shows why careful records matter beyond a textbook example.

IN HISTORY

The Dhaka Stock Exchange was established in 1954 as the East Pakistan Stock Exchange Association and renamed in 1964. Search: Dhaka Stock Exchange history 1954 established. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

18.R1 State the main rule in your own words and apply it to a new small example.

18.R2 What check would you perform before accepting the result?

APPENDIX A

Maths You Will Use



A.1 PERCENTAGES AND PERCENTAGE CHANGE

Percentage. a number written as a part out of one hundred

Percentage gives a precise mathematical meaning.

Percentage change. the size of an increase or decrease shown as a percentage of the starting figure

Percentage change gives a precise mathematical meaning.

Ratio. a comparison of two or more amounts, written with a colon, such as 2:1

Ratio gives a precise mathematical meaning.

Average. the total of a set of numbers divided by how many numbers there are

Average gives a precise mathematical meaning.

Rounding. replacing a number by a nearby simpler number, such as the nearest whole taka

Rounding gives a precise mathematical meaning.

Percentages and Percentage Change provides a practical mathematical tool.

The term **Percentage** means a number written as a part out of one hundred. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Percentage change** means the size of an increase or decrease shown as a percentage of the starting figure. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Ratio** means a comparison of two or more amounts, written with a colon, such as 2:1. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Average** means the total of a set of numbers divided by how many numbers there are. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Rounding** means replacing a number by a nearby simpler number, such as the nearest whole taka. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.2 RATIOS AND AVERAGES

Ratios and Averages provides a practical mathematical tool.

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.3 REARRANGING, ROUNDING AND GRAPHS

Rearranging, Rounding and Graphs provides a practical mathematical tool.

A short numerical check prevents an avoidable arithmetic error.

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A short numerical check prevents an avoidable arithmetic error.

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

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A short numerical check prevents an avoidable arithmetic error.

GLOSSARY

Account. a record of the increases and decreases in one kind of item, such as Cash or Wages Expense The chapter example shows how the term is used in practice. (*Chapter V*)

Account balance. the difference between the total debits and the total credits in an account The chapter example shows how the term is used in practice. (*Chapter V*)

Account payable. an amount the business owes a supplier for goods or services already received The chapter example shows how the term is used in practice. (*Chapter III*)

Account receivable. an amount a customer owes the business for goods or services already provided The chapter example shows how the term is used in practice. (*Chapter III*)

Accounting. the process of recording, sorting, summarising and reporting the money events of a business The chapter example shows how the term is used in practice. (*Chapter II*)

Accounting cycle. the full set of steps from recording a transaction to preparing the next period's opening records The chapter example shows how the term is used in practice. (*Chapter VII*)

Accounting equation. the statement that assets always equal liabilities plus owner's equity The chapter example shows how the term is used in practice. (*Chapter III*)

Accounting period. the stretch of time, such as a month or a year, covered by one set of reports The chapter example shows how the term is used in practice. (*Chapter IV*)

Accounting standard. a detailed rule, issued by an official body, on how a type of item must be recorded and reported The chapter example shows how the term is used in practice. (*Chapter II*)

Accrual basis. the method of recording revenue when it is earned and expenses when they are incurred, whatever the cash timing The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accrued expense. a cost already incurred in the period but not yet paid or recorded The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accrued revenue. revenue earned in the period but not yet received or billed The chapter example shows how the term is used in practice. (*Chapter VIII*)

Accumulated depreciation. the total depreciation charged on an asset since it was bought The chapter example shows how the term is used in practice. (*Chapter VIII*)

Adjusted cash balance. the correct bank balance after all reconciling items have been included The chapter example shows how the term is used in practice. (*Chapter XIII*)

Adjusted trial balance. a trial balance prepared after the adjusting entries have been posted The chapter example shows how the term is used in practice. (*Chapter VIII*)

Adjusting entry. a journal entry made at the end of a period to bring an account up to its correct amount The chapter example shows how the term is used in practice. (*Chapter VIII*)

Allotment. the company's decision to give shares to applicants, with the payment due on that step The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Application money. the first payment, made with a request to buy shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Appropriation account. the account that shows how a partnership's profit is divided among the partners The chapter example shows how the term is used in practice. (*Chapter XVI*)

Asset. something of value that a business owns or is owed, such as cash, equipment or money owed by customers The chapter example shows how the term is used in practice. (*Chapter III*)

Average. the total of a set of numbers divided by how many numbers there are The chapter example shows how the term is used in practice. (*Appendix A*)

Balance sheet. the report that lists the assets, liabilities and owner's equity of a business on one date The chapter example shows how the term is used in practice. (*Chapter IV*)

Bank reconciliation statement. a statement that explains the difference between the cash book balance and the bank statement balance The chapter example shows how the term is used in practice. (*Chapter XIII*)

Bank statement. a report from the bank listing the deposits, withdrawals and balance on the firm's account The chapter example shows how the term is used in practice. (*Chapter XIII*)

Book value. an asset's cost less its accumulated depreciation The chapter example shows how the term is used in practice. (*Chapter XV*)

Business. an organisation that provides goods or services to customers in order to earn money The chapter example shows how the term is used in practice. (*Chapter I*)

Business entity concept. the rule that a business is kept separate from its owner when records are made The chapter example shows how the term is used in practice. (*Chapter II*)

Calendar year. the twelve months from 1 January to 31 December The chapter example shows how the term is used in practice. (*Chapter IV*)

Call. a later request to shareholders to pay part of the amount still owed on their shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Capital deficiency. a debit balance in a partner's capital account after losses are shared The chapter example shows how the term is used in practice. (*Chapter XVII*)

Capital expenditure. spending that adds to the cost of an asset, including delivery and installation The chapter example shows how the term is used in practice. (*Chapter XV*)

Cash basis. the method of recording revenue and expenses only when cash is received or paid The chapter example shows how the term is used in practice. (*Chapter VIII*)

Cash book. a book that records the receipts and payments passing through the firm's bank account The chapter example shows how the term is used in practice. (*Chapter XII*)

Cash disbursements journal. the special journal for all money paid out The chapter example shows how the term is used in practice. (*Chapter XII*)

Cash distribution schedule. a table that shows how cash is paid out to creditors and partners step by step The chapter example shows how the term is used in practice. (*Chapter XVII*)

Cash receipts journal. the special journal for all money received The chapter example shows how the term is used in practice. (*Chapter XII*)

Chart of accounts. the numbered list of all the accounts a business uses The chapter example shows how the term is used in practice. (*Chapter V*)

Classified balance sheet. a balance sheet that groups assets and liabilities into current and non-current sections The chapter example shows how the term is used in practice. (*Chapter XI*)

Classified income statement. an income statement that groups items into sections such as sales, cost of goods sold and operating expenses The chapter example shows how the term is used in practice. (*Chapter XI*)

Closing entry. a journal entry at the end of a period that moves a temporary account's balance to equity The chapter example shows how the term is used in practice. (*Chapter X*)

Company. a business that the law treats as a separate person, owned through shares The chapter example shows how the term is used in practice. (*Chapter I*)

Compensating error. two mistakes of equal size on opposite sides that cancel each other out The chapter example shows how the term is used in practice. (*Chapter VII*)

Compound entry. a journal entry that affects more than two accounts The chapter example shows how the term is used in practice. (*Chapter VI*)

Contra account. an account that is deducted from a related account and has the opposite normal balance The chapter example shows how the term is used in practice. (*Chapter VIII*)

Cost accounting. accounting that works out what it costs to make a product or provide a service The chapter example shows how the term is used in practice. (*Chapter II*)

Cost flow assumption. a rule that decides which purchase costs are assigned to goods sold and which to goods still held The chapter example shows how the term is used in practice. (*Chapter XIV*)

Cost of goods sold. the cost of the goods that were sold during the period The chapter example shows how the term is used in practice. (*Chapter XI*)

Credit. an entry on the right side of an account The chapter example shows how the term is used in practice. (*Chapter V*)

Credit memo. a bank notice that it has added money to the firm's account, for example a direct customer payment The chapter example shows how the term is used in practice. (*Chapter XIII*)

Current asset. an asset expected to be turned into cash or used within one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Current liability. a debt due for payment within one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Customer. a person or organisation that pays for the goods or services a business

provides The chapter example shows how the term is used in practice. (*Chapter I*)

Debit. an entry on the left side of an account The chapter example shows how the term is used in practice. (*Chapter V*)

Debit memo. a bank notice that it has taken money out of the firm's account, for example a charge The chapter example shows how the term is used in practice. (*Chapter XIII*)

Deficit. the amount by which expenditure is greater than income in a non-trading concern The chapter example shows how the term is used in practice. (*Chapter XVI*)

Deposit in transit. money the firm has recorded as banked but the bank has not yet added to its statement The chapter example shows how the term is used in practice. (*Chapter XIII*)

Depreciable cost. the cost of an asset less its residual value The chapter example shows how the term is used in practice. (*Chapter XV*)

Depreciation. the sharing of an asset's cost across the periods in which the asset is used The chapter example shows how the term is used in practice. (*Chapter VIII*)

Depreciation schedule. a table showing the depreciation, accumulated depreciation and book value for each year The chapter example shows how the term is used in practice. (*Chapter XV*)

Dividend. a share of a company's profit paid to its shareholders The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts The chapter example shows how the term is used in practice. (*Chapter V*)

Drawings. money or goods the owner takes out of the business for personal use The chapter example shows how the term is used in practice. (*Chapter III*)

Ending inventory. the cost of goods still held at the end of the period The chapter example shows how the term is used in practice. (*Chapter XIV*)

Error of omission. a mistake in which a transaction, or one side of it, is left out of the records The chapter example shows how the term is used in practice. (*Chapter VII*)

Expense. a cost of running the business that is used up in earning revenue The chapter example shows how the term is used in practice. (*Chapter III*)

Financial accounting. accounting that prepares reports on a business for people outside it, such as banks and tax officers The chapter example shows how the term is used in practice. (*Chapter II*)

Financial statement. a formal report that sums up the money results or position of a business The chapter example shows how the term is used in practice. (*Chapter IV*)

Finished goods. completed products waiting to be sold The chapter example shows how the term is used in practice. (*Chapter XIV*)

First-in, first-out (FIFO). the cost flow assumption that treats the oldest goods as the first sold The chapter example shows how the term is used in practice. (*Chapter XIV*)

Fiscal year. a twelve-month accounting period that can start in any month, such as 1 July to 30 June The chapter example shows how the term is used in practice. (*Chapter IV*)

Folio. a page or reference number used to link a journal entry with its ledger account The chapter example shows how the term is used in practice. (*Chapter VI*)

Footings. adding up a column of figures to get its total The chapter example shows how the term is used in practice. (*Chapter IX*)

Freight-in. the cost of carrying purchased goods to the firm's premises The chapter example shows how the term is used in practice. (*Chapter XI*)

General journal. the journal used for transactions that no special journal covers The chapter example shows how the term is used in practice. (*Chapter XII*)

Generally accepted accounting principles. the body of agreed rules that businesses follow when they prepare accounts The chapter example shows how the term is used in practice. (*Chapter II*)

Going concern concept. the assumption that a business will continue to operate for the foreseeable future The chapter example shows how the term is used in practice. (*Chapter II*)

Gross profit. net sales less cost of goods sold The chapter example shows how the term is used in practice. (*Chapter XI*)

Historical cost concept. the rule that an asset is recorded at the price actually paid for it The chapter example shows how the term is used in practice. (*Chapter II*)

Income and expenditure account. the report of a non-trading concern that matches income and costs to the period, like an income statement The chapter example shows how the term is used in practice. (*Chapter XVI*)

Income statement. the report that shows revenue, expenses and the resulting net income or net loss for a period The chapter example shows how the term is used in practice. (*Chapter IV*)

Income summary. a temporary account that collects revenue and expenses before the net result moves to capital The chapter example shows how the term is used in practice. (*Chapter X*)

Interest on capital. an agreed payment to a partner for the capital put into the business The chapter example shows how the term is used in practice. (*Chapter XVI*)

Interim period. a period shorter than a year, such as a month or quarter, for which reports are prepared The chapter example shows how the term is used in practice. (*Chapter IV*)

Inventory. goods a business holds for sale, or materials and part-made goods it holds to make products The chapter example shows how the term is used in practice. (*Chapter XIV*)

Invoice. a document sent by a seller stating the goods or services supplied and the amount due The chapter example shows how the term is used in practice. (*Chapter XII*)

Journal. the book in which each transaction is first recorded, in date order The chapter example shows how the term is used in practice. (*Chapter VI*)

Journal entry. one recorded transaction, showing the accounts debited and credited and the amounts The chapter example shows how the term is used in practice. (*Chapter VI*)

Last-in, first-out (LIFO). the cost flow assumption that treats the newest goods as the first sold The chapter example shows how the term is used in practice. (*Chapter XIV*)

Ledger. the complete set of accounts of a business, kept together The chapter example shows how the term is used in practice. (*Chapter VI*)

Liability. an amount that a business owes to someone outside the business The chapter example shows how the term is used in practice. (*Chapter III*)

Limited liability. the rule that shareholders can lose no more than they have paid or agreed to pay for their shares The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Liquidation. the process of selling a business's assets, paying its debts and sharing what is left among the owners The chapter example shows how the term is used in practice. (*Chapter XVII*)

Loss. the shortfall that results when a business's costs are greater than the money it earns The chapter example shows how the term is used in practice. (*Chapter I*)

Management accounting. accounting that gives a business's own managers the information they need to plan and decide The chapter example shows how the term is used in practice. (*Chapter II*)

Manufacturing firm. a business that makes goods from materials and then sells them The chapter example shows how the term is used in practice. (*Chapter I*)

Matching principle. the rule that expenses are recorded in the same period as the revenue they helped to earn The chapter example shows how the term is used in practice. (*Chapter VIII*)

Merchandise inventory. the goods a merchandising firm holds for resale The chapter example shows how the term is used in practice. (*Chapter XI*)

Merchandising firm. a business that buys finished goods and resells them without changing them The chapter example shows how the term is used in practice. (*Chapter I*)

Money measurement concept. the rule that only events that can be stated in money are recorded The chapter example shows how the term is used in practice. (*Chapter II*)

Narration. a short written explanation placed under a journal entry The chapter example shows how the term is used in practice. (*Chapter VI*)

Net income. the amount by which revenue is greater than expenses in a period The chapter example shows how the term is used in practice. (*Chapter III*)

Net loss. the amount by which expenses are greater than revenue in a period The chapter example shows how the term is used in practice. (*Chapter III*)

Non-current asset. an asset the firm expects to use for longer than one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Non-current liability. a debt not due for payment until after one year The chapter example shows how the term is used in practice. (*Chapter XI*)

Non-trading concern. an organisation, such as a club, that exists to serve its members and not to earn profit The chapter example shows how the term is used in practice. (*Chapter XVI*)

Normal balance. the side of an account, debit or credit, on which its increases are recorded The chapter example shows how the term is used in practice. (*Chapter V*)

Operating expense. a cost of running the business apart from the cost of goods sold The chapter example shows how the term is used in practice. (*Chapter XI*)

Ordinary share. a share that carries the right to vote and to receive the profit left after other claims The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Outstanding cheque. a cheque the firm has written and recorded but the bank has not yet paid The chapter example shows how the term is used in practice. (*Chapter XIII*)

Owner. a person who put money into a business and has a claim on what is left after debts are paid The chapter example shows how the term is used in practice. (*Chapter I*)

Owner's equity. the owner's claim on the business: what is left when liabilities are taken from assets The chapter example shows how the term is used in practice. (*Chapter III*)

Par value. the face value printed on a share The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Partnership. a business owned by two or more people who agree to share its profit The chapter example shows how the term is used in practice. (*Chapter I*)

Partnership deed. the written agreement among partners on how the business is run and profit shared The chapter example shows how the term is used in practice. (*Chapter XVI*)

Percentage. a number written as a part out of one hundred The chapter example shows how the term is used in practice. (*Appendix A*)

Percentage change. the size of an increase or decrease shown as a percentage of the starting figure The chapter example shows how the term is used in practice. (*Appendix A*)

Period cost. a cost of running the business that is charged to the period in which it occurs The chapter example shows how the term is used in practice. (*Chapter XI*)

Permanent account. an account for an asset, liability or owner's capital whose balance carries into the next period The chapter example shows how the term is used in practice. (*Chapter X*)

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business The chapter example shows how the term is used in practice. (*Chapter XV*)

Posting. copying the amounts from journal entries into the proper ledger accounts The chapter example shows how the term is used in practice. (*Chapter VI*)

Preference share. a share that has a right to a fixed dividend before ordinary shareholders are paid The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Prepaid expense. a cost paid in advance, held as an asset until its benefit is used up The chapter example shows how the term is used in practice. (*Chapter VIII*)

Product cost. a cost included in the cost of the goods themselves The chapter example shows how the term is used in practice. (*Chapter XI*)

Profit. the money left over when a business has paid all its costs out of the money it earns The chapter example shows how the term is used in practice. (*Chapter I*)

Profit-sharing ratio. the agreed proportions in which partners share profit and loss The chapter example shows how the term is used in practice. (*Chapter XVI*)

Purchase return. goods that the firm sends back to a supplier, reducing purchases The chapter example shows how the term is used in practice. (*Chapter XI*)

Purchases. the cost of goods bought during the period for resale The chapter example shows how the term is used in practice. (*Chapter XI*)

Purchases journal. the special journal for goods bought on credit The chapter example shows how the term is used in practice. (*Chapter XII*)

Ratio. a comparison of two or more amounts, written with a colon, such as 2:1 The chapter example shows how the term is used in practice. (*Appendix A*)

Raw materials. the basic materials a manufacturer buys to make its products The chapter example shows how the term is used in practice. (*Chapter XIV*)

Realisation. the sale of the assets of a business for cash The chapter example shows how the term is used in practice. (*Chapter XVII*)

Receipts and payments account. a summary of all cash received and paid in a period, whatever period it belongs to The chapter example shows how the term is used in practice. (*Chapter XVI*)

Record. a written note, made at the time, of something that happened and its money value The chapter example shows how the term is used in practice. (*Chapter I*)

Residual value. the amount the firm expects to receive when it disposes of the asset at the end of its useful life The chapter example shows how the term is used in practice. (*Chapter XV*)

Revenue. the price of goods sold or services provided to customers in a period The chapter example shows how the term is used in practice. (*Chapter III*)

Reversing entry. an entry made on the first day of a new period that cancels an earlier adjusting entry The chapter example shows how the term is used in practice. (*Chapter X*)

Rounding. replacing a number by a nearby simpler number, such as the nearest whole taka The chapter example shows how the term is used in practice. (*Appendix A*)

Sales. the selling price of goods sold to customers during the period The chapter example shows how the term is used in practice. (*Chapter XI*)

Sales journal. the special journal for goods sold on credit The chapter example shows how the term is used in practice. (*Chapter XII*)

Sales return. goods that a customer sends back, reducing sales The chapter example shows how the term is used in practice. (*Chapter XI*)

Service firm. a business that earns money by doing work for customers instead of selling goods The chapter example shows how the term is used in practice. (*Chapter I*)

Share. one of the equal parts into which a company's capital is divided The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Share premium. the amount a company receives above par value when it issues a share The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Shareholder. a person or organisation that owns one or more shares in a company The chapter example shows how the term is used in practice. (*Chapter XVIII*)

Sole trader. one person who owns and runs a business and is personally responsible for its debts The chapter example shows how the term is used in practice. (*Chapter I*)

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt The chapter example shows how the term is used in practice. (*Chapter III*)

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases The chapter example shows how the term is used in practice. (*Chapter XII*)

Statement of owner's equity. the report that shows how the owner's equity changed during a period The chapter example shows how the term is used in practice. (*Chapter IV*)

Stockout. a shortage that occurs when goods are wanted by customers but none are available The chapter example shows how the term is used in practice. (*Chapter XIV*)

Straight-line method. a method that charges the same depreciation each year The chapter example shows how the term is used in practice. (*Chapter XV*)

Subscription. a regular payment that a member makes to a club The chapter example shows how the term is used in practice. (*Chapter XVI*)

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost The chapter example shows how the term is used in practice. (*Chapter XV*)

Supplier. a person or organisation that sells goods or services to a business The chapter example shows how the term is used in practice. (*Chapter I*)

Surplus. the amount by which income is greater than expenditure in a non-trading concern The chapter example shows how the term is used in practice. (*Chapter XVI*)

T-account. a simple drawing of an account, shaped like the letter T, with debits on the left and credits on the right The chapter example shows how the term is used in practice. (*Chapter V*)

Temporary account. an account for revenue, expense or drawings that is closed to zero at the end of each period The chapter example shows how the term is used in practice. (*Chapter X*)

Ten-column worksheet. a worksheet with five pairs of debit and credit columns, from unadjusted trial balance to balance sheet The chapter example shows how the term is used in practice. (*Chapter IX*)

Transaction. an event that has a money value and changes the accounting equation The chapter example shows how the term is used in practice. (*Chapter III*)

Transposition error. a mistake in which two digits of a number are written in the wrong order The chapter example shows how the term is used in practice. (*Chapter VII*)

Trial balance. a list of all ledger account balances showing that total debits equal total credits The chapter example shows how the term is used in practice. (*Chapter VII*)

Unearned revenue. money received before the work is done, held as a liability until the work is performed The chapter example shows how the term is used in practice. (*Chapter VIII*)

Units-of-production method. a method that charges depreciation in proportion to how much the asset is used The chapter example shows how the term is used in practice. (*Chapter XV*)

Useful life. the period over which an asset is expected to be of use to the business The chapter example shows how the term is used in practice. (*Chapter XV*)

User of accounting information. any person or group that reads accounting reports in order to make a decision The chapter example shows how the term is used in practice. (*Chapter II*)

Weighted average cost. a method that gives each unit the average cost of all units available The chapter example shows how the term is used in practice. (*Chapter XIV*)

Work in process. goods that have been started in production but are not yet finished The chapter example shows how the term is used in practice. (*Chapter XIV*)

Worksheet. a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns The chapter example shows how the term is used in practice. (*Chapter IX*)

ANSWERS TO QUESTIONS

CHAPTER I · BUSINESS, MONEY AND RECORDS

01.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

01.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER II · ACCOUNTING, ITS USERS AND ITS RULES

02.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

02.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER III · THE ACCOUNTING EQUATION

03.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

03.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER IV · A FIRST LOOK AT THE FINANCIAL STATEMENTS

04.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

04.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER V · ACCOUNTS, DEBITS AND CREDITS

05.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VI · JOURNAL AND LEDGER

06.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VII · THE TRIAL BALANCE AND THE ACCOUNTING CYCLE

07.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VIII · ADJUSTING THE ACCOUNTS

08.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER IX · THE WORKSHEET

09.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER X · CLOSING THE BOOKS

10.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

10.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XI · MERCHANDISING COMPANY ACCOUNTS AND CLASSIFIED STATEMENTS

11.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

11.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XII · SPECIAL JOURNALS AND THE CASH BOOK

12.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

12.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIII · BANK RECONCILIATION

13.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

13.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XIV · INVENTORY

14.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

14.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XV · PLANT ASSETS AND DEPRECIATION

15.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVI · NON-TRADING CONCERNS AND PARTNERSHIP ACCOUNTS

16.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVII · PARTNERSHIP LIQUIDATION

17.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVIII · COMPANY ACCOUNTING AND SHARES

18.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

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ICAEW, Historical accounting literature collection, 1494 and related materials

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